

ABANS FINANCE PLC
FINANCIAL STATEMENTS
31 MARCH 2023

APAG/KMW/AD

**INDEPENDENT AUDITORS' REPORT
TO THE SHAREHOLDERS OF ABANS FINANCE PLC**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Abans Finance PLC ("the Company"), which comprise the statement of financial position as at 31 March 2023, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2023, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSS). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

(Contd...2/)

Key audit matter	How our audit addressed the key audit matter
Allowance for impairment losses on Loans & advances and Lease rentals receivable & stock out on hire carried at amortized cost As at 31 March 2023, Allowance for impairment losses on Loans & advances and Lease rentals receivable & stock out on hire carried at amortized cost net of impairment allowances amounted to LKR 8,807 Mn as disclosed in notes 19 & 20 to the financial statements. This was a key audit matter due to the materiality of the reported allowance for impairment losses which involved complex calculations; degree of significant judgements and assumptions and level of estimation uncertainty associated with estimating future cashflows management expects to receive from such financial assets. Key areas of significant judgements, estimates and assumptions used by the management in the assessment of the provision for credit impairment included the following. • Management overlays to incorporate the current economic contraction. • The incorporation of forward-looking information such that expected cashflows reflect current and anticipated future external factors evaluated under different economic scenarios and the probability weighting determined for each of these scenarios.	In addressing the adequacy of the allowance for impairment losses on Loans & advances and Lease rentals receivable & stock out on hire carried at amortized cost, our audit procedures included the following key procedures; • We assessed the alignment of the Company's Allowance for impairment losses computations and underlying methodology including responses to market economic volatility with its accounting policies, based on the best available information up to the date of our report. • We evaluated the internal controls over estimation of credit impairment, which included assessing the level of oversight, review and approval of impairment allowances policies and procedures by the Board and management. • We checked the completeness, accuracy and classification of the underlying data used in the computation of credit impairment by agreeing details to relevant source documents and accounting records of the Company. • In addition to the above, following procedures were performed. For loans & advances and Lease rentals receivable & stock out on hire assessed on an individual basis for impairment: • We evaluated reasonableness of credit quality assessment. • We checked the arithmetical accuracy of the underlying individual impairment calculations. • We evaluated the reasonableness of key inputs used in provision for credit impairment made with particular focus on current economic contraction. Such evaluations were carried out considering the customer exposure to elevated risk industries, debt moratoriums, status of recovery actions of collaterals in forecasting the value and timing of cashflows.

Key audit matter	How our audit addressed the key audit matter
	For loans & advances and Lease rentals receivable & stock out on hire assessed on a collective basis for impairment: - We tested key inputs as disclosed in note 3.1.10 and the calculations used in the provision for credit impairment. - We assessed whether judgments used in assumptions and estimates made by the management when estimating future cashflows, in the underlying methodology and management overlays were reasonable. Our assessment included portfolio segmentation, elevated risk industries, evaluating the reasonableness of forward-looking information, different economic scenarios and probability weighting assigned to each scenario. We assessed the adequacy of the related financial statement disclosures set out in notes 19 & 20 of the financial statements.
Information Technology (IT) systems and internal controls over financial reporting Company's financial reporting process is significantly reliant on multiple IT systems with automated processes and internal controls. Further, key financial statement disclosures are prepared using data and reports generated by IT systems, that are compiled and formulated with the use of spreadsheets. Accordingly, IT systems and related internal controls over financial reporting were considered a key audit matter.	Our audit procedures included the following: • We obtained an understanding of the internal control environment of the processes relating to financial reporting and related disclosures. • We involved our internal specialized resources to check and evaluate the design and operating effectiveness of IT systems and relevant controls, including those related to user access and change management. • We also obtained high-level understanding, primarily through inquiry, of the cybersecurity risks affecting the company and the actions taken to address these risks • We checked source data of the reports used to generate disclosure for accuracy and completeness, including review of general ledger reconciliations.

(Contd...4/)



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Other information included in the 2023 Annual Report

Other information consists of the information included in the Company's 2023 Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Company's 2023 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls.

3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.

09 June 2023
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2023

	Notes	2023 Rs.	2022 Rs.
Income	5	2,857,850,498	2,122,022,275
Interest Income	5.1	2,651,738,774	1,932,052,227
Interest Expense	5.2	(1,230,834,778)	(547,034,438)
Net Interest Income		1,420,903,996	1,385,017,788
Fee and Commission Income	6.1	190,985,038	161,686,573
Fee and Commission Expense	6.2	(26,548,114)	(21,674,478)
Net Fee and Commission Income		164,436,924	140,012,096
Net Gain/(Loss) from Trading	7	2,650,600	6,443,343
Other Operating Income (net)	8	12,476,086	21,840,132
Total Operating Income		1,600,467,606	1,553,313,359
Credit Loss Expense on Financial Assets	9	(82,156,789)	(130,500,395)
Net Operating Income		1,518,310,817	1,422,812,965
Operating Expenses			
Personnel Costs	10	(399,834,364)	(335,541,769)
Depreciation & Amortization	11	(66,347,264)	(65,188,794)
Other Operating Expenses	12	(369,634,023)	(282,140,919)
Operating Profit before Taxes on Financial Services		682,495,166	739,941,482
Taxes on Financial Services	13	(149,266,744)	(124,703,277)
Profit before Taxation from Operations		533,228,422	615,238,205
Provision for Income Taxation	14.1	(178,165,934)	(184,929,414)
Profit for the Year		355,062,488	430,308,791
Other Comprehensive Income (OCI)			
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	36.1	(3,108,334)	2,380,293
Deferred Tax Effect of above	14.1	932,500	(571,270)
		(2,175,834)	1,809,023
Items that will be reclassified to profit or loss			
Surplus from Revaluation of Property, Plant & Equipment		80,000	-
Deferred Tax Effect of above	30	(24,000)	-
Tax change impact on Revaluation Reserve	30	(7,781,972)	-
		(7,725,972)	-
Other Comprehensive Profit/(Loss) for the Year, Net of Tax		(9,901,806)	1,809,023
Total Comprehensive Income for the Year		345,160,682	432,117,813
Earnings Per Share : Basic / Diluted (Rs.)	15.1	4.82	6.46

Accounting Policies and Notes from pages 10 to 75 form an integral part of these Financial Statements.



Abans Finance PLC
STATEMENT OF FINANCIAL POSITION
As at 31 March 2023

	Notes	2023 Rs.	2022 Rs.
Assets			
Cash and Bank Balances	16	371,545,331	183,803,274
Placement With Banks	17	433,981,434	485,662,416
Repurchase Agreements	18	271,331,939	255,049,144
Loans and Advances	19	1,019,648,500	1,109,139,474
Lease Rentals Receivable & Stock out on Hire	20	7,787,483,346	6,999,758,895
Financial Investments at Fair Value through P&L	21	8,613,335	291,202,975
Equity Instruments at Fair Value through OCI	22	80,400	80,400
Debt Instruments at Amortised Cost	23	713,692,026	587,159,325
Other Financial Assets	24	112,611,633	110,968,742
Real Estate Stock	25	38,468,202	32,066,726
Other Non Financial Assets	26	88,215,996	57,812,919
Property, Plant & Equipment	28	168,485,711	152,722,069
Intangible Assets	27	23,126,958	27,950,766
Right-of-use Assets	29	151,375,430	175,125,283
Total Assets		11,188,660,241	10,468,502,408
Liabilities			
Due to Banks	31	2,087,507	138,597,100
Due to Customers	32	5,376,613,892	4,448,008,287
Other Borrowed Funds	33	1,953,023,415	2,552,107,092
Other Financial Liabilities	34	561,484,647	644,871,381
Other Non Financial Liabilities	35	59,890,451	43,821,143
Current Tax Liabilities		214,913,361	175,080,456
Deferred Tax Liabilities	30	13,251,024	13,298,359
Retirement Benefit Liability	36	37,432,541	27,600,613
Total Liabilities		8,218,696,838	8,043,384,431
Shareholders' Funds			
Stated Capital	37	1,321,097,699	1,121,412,955
Statutory Reserve Fund	38.2.1	294,922,322	277,169,198
Revaluation Reserve	38.2.2	62,677,935	70,403,907
Regulatory Loss Allowance Reserve	38.2.3	755,907,050	-
Retained Earnings	38.1	535,358,397	956,131,916
Total Shareholders' Funds		2,969,963,403	2,425,117,976
Total Liabilities and Shareholders' Funds		11,188,660,241	10,468,502,408

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.


B. J. P. Samantha
Chief Financial Officer

The Board of Directors is responsible for the Financial Statements. Signed for and on behalf of the Board by,


K.J.C. Perera
Director


R. Pestonjee
Director

Accounting Policies and Notes from pages 10 to 75 form an integral part of these Financial Statements.



STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2023

	Stated Capital	Statutory Reserve	Revaluation Reserve	Regulatory Loss Allowance Reserve	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 31 March 2021	1,121,412,955	191,107,440	70,403,907		610,075,860	1,993,000,162
Net Profit for the year	-	-	-		430,308,791	430,308,791
Other Comprehensive Income net of tax	-	-			1,809,023	1,809,023
Transfer to Statutory Reserve Fund	-	86,061,758	-		(86,061,758)	-
Balance as at 31 March 2022	1,121,412,955	277,169,198	70,403,907	-	956,131,916	2,425,117,976
Net Profit for the year	-	-	-	-	355,062,488	355,062,488
Rights Issue	199,684,744	-	-	-	-	199,684,744
Other Comprehensive Income net of tax	-	-	(7,725,972)	-	(2,175,834)	(9,901,806)
Transfer to Statutory Reserve Fund	-	17,753,124	-	-	(17,753,124)	-
Transfer to Regulatory Risk Allowance Reserve	-	-	-	755,907,050	(755,907,050)	-
Balance as at 31 March 2023	1,321,097,699	294,922,322	62,677,935	755,907,050	535,358,397	2,969,963,403

Accounting Policies and Notes from pages 10 to 75 form an integral part of these Financial Statements.



STATEMENT OF CASH FLOWS

Year ended 31 March 2023

	Notes	2023 Rs.	2022 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		533,228,422	615,238,205
Adjustments for			
Depreciation	28.2	16,693,991	15,775,818
Amortization of Intangible Assets	27	6,004,183	5,915,655
Amortization of Right to use assets	29	43,972,272	43,497,322
Interest Expense on Borrowings	5.2	438,608,327	142,002,027
Interest Expense on Lease Liability	29.2	17,408,500	13,543,777
Impairment Provision	9	82,156,789	130,500,395
Loss/(Profit) from Sale of Unit Trust	7	(2,410,360)	(6,203,343)
Loss/(Profit) on Disposal of Property & Equipment	8	888,197	(3,990)
Provision/(Reversal) for Defined Benefit Plans	10	9,287,345	5,261,365
Dividend Received		(240,240)	(240,000)
Operating Profit before Working Capital Changes		1,145,597,426	965,287,231
(Increase)/Decrease in Real Estate Stock		(6,401,476)	(1,000,000)
(Increase)/Decrease in Loans and Advances		100,874,582	247,937,550
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(792,552,688)	(1,062,798,619)
(Increase)/Decrease in Other Financial Assets		(90,355,051)	(29,021,340)
(Increase)/Decrease in Other Non Financial Assets		(30,403,077)	(8,523,067)
Increase/(Decrease) in Amounts Due to Customers		928,605,604	(470,793,850)
Increase/(Decrease) in Other Financial Liabilities		(68,415,197)	(8,521,225)
Increase/(Decrease) in Other Non Financial Liabilities		16,069,308	27,943,985
Cash Generated from Operations		1,203,019,431	(339,489,335)
Interest Expense Paid		(219,166,970)	(99,483,344)
Retirement Benefit Liabilities Paid	36	(2,563,751)	(2,295,385)
Taxes Paid		(145,253,835)	(134,552,174)
Net Cash From/(Used in) Operating Activities		836,034,875	(575,820,238)
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	28.1	(32,942,647)	(22,457,183)
Acquisition of Intangible Assets	27	(1,180,375)	-
Proceeds from Sales of Property, Plant & Equipment		(1,583,557)	5,000
Cash Flow from/(Used in) Fixed Deposits		(97,319,400)	4,915,471
Sale/(Purchase) of Debt Instruments at Amortised Cost		336,127,928	(323,237,950)
Dividend Received		240,240	240,000
Net Cash Flows from/(Used in) Investing Activities		203,342,189	(340,534,662)
Cash Flows from / (Used in) Financing Activities			
Cash Outflow from Long Term Bank Borrowings	31	(121,116,610)	(128,400,000)
Cash Inflow from Other Borrowings	33	828,602,510	1,979,015,444
Cash outflow from Other Borrowings	33.2	(1,647,127,542)	(680,059,569)
Payment of Capital portion of Lease Liabilities	29.2	(50,547,501)	(51,889,911)
Proceeds from the right issue	37	199,684,744	-
Net Cash Flows from/(Used in) Financing Activities		(790,504,399)	1,118,665,964
Net Increase in Cash and Cash Equivalents		248,872,665	202,311,064
Cash and Cash Equivalents at the beginning of the year		1,427,457,257	1,225,146,193
Cash and Cash Equivalents at the end of the year		1,676,329,922	1,427,457,257

Accounting Policies and Notes from pages 10 to 75 form an integral part of these Financial Statements.



1. CORPORATE INFORMATION

1.1 General

Abans Finance PLC is domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982. The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent company is Abans PLC and the ultimate parent company is Abans International (Pvt) Limited which are incorporated in Sri Lanka.

1.4 Approval of Financial Statements by Directors

The Financial Statements of Abans Finance PLC for the year ended 31 March 2023 was authorized for issue in accordance with a resolution of the Board of Directors on 09 June 2023.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").



2. BASIS OF PREPARATION**2.1 Statement of Compliance**

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2023 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of these Financial Statements is also in compliance with the requirements of Finance Business Act No 42 of 2011, Listing Rules of the Colombo Stock Exchange and the CBSL guidelines.

2.2 Basis of Measurement

The Financial Statements of the Company have been prepared on a historical cost basis, except for the following items in the Statement of Financial Position.

- Financial Assets at fair value through other comprehensive income (applicable from 1 January 2018) at fairvalue (Note 22)
- Liabilities for defined benefit obligations are recognized at the present value of the defined benefit obligation less the fair value of the plan assets (Note 36)
- Financial Assets at Fair value through Profit or Loss (FVPL) (Note 21)
- Freehold land, which is measured at cost at the time of acquisition subsequently, measured at revalued amounts, which are the fair values at the date of revaluation.

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees (Rs.), which is the currency of the primary economic environment in which Abans Finance PLC operates. The Financial information presented in Sri Lankan Rupees has been rounded to the nearest Rupee except where otherwise indicated as permitted by the Sri Lanka Accounting Standard LKAS 01 on "Presentation of Financial Statements". There was no change in the Company's presentation and functional currency during the year under review.

2.4 Presentation of Financial Statements

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (noncurrent) is presented in Note 42.

2.5 Materiality and Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.



2.6 Comparative Information

The comparative information is re-classified whenever necessary to conform to the current year's presentation.

2.7 Statement of Cash Flow

The cash flow statement has been prepared by using the indirect method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby operating, investing and financial activities have been separately recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), net of unfavourable bank balances and securities purchased under repurchase agreement (less than three months).

2.8 Events After the Reporting Date

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

No circumstances have arisen since the reporting date, which would require adjustments to, or disclosure in the financial statements, other than those disclosed in Note 46 to the Financial Statements.

2.9 Significant Accounting Judgements, Estimates and Assumptions

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis.



II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long-term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 36.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company. The sensitivity of assumptions used in actuarial valuations are set out in Note 36.5 to the Financial Statements.

III. Impairment losses on Loans and Advances (Finance Leases, Hire Purchases, Mortgage Loans, Revolving Loans and Business/Personal Loans)

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates driven by a number of factors, changes which can result in different levels of allowances.

Accordingly, the Company reviews its individually significant loans and advances at each financial reporting date to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment was required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates were based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics.

As per SLFRS 09, the Company's expected credit loss (ECL) calculations are output of complex models with a number of underlying assumptions regarding the choice of variable inputs and their independencies. The elements of the ECL models that are considered accounting judgements and estimates include:

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime expected credit loss (LTECL) basis and the qualitative assessment
- The segmentation of financial assets when their fair values when their ECL is assessed on a collective basis.
- Development of ECLs, models, including the various formulas and the choice of inputs
Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on probability of default (PDs), Exposure at default (EADs) and loss given default (LGDs).
- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It is the Company's policy to regularly review its models in the context of actual loss experience and adjust whenever necessary.

IV. Fair Value of Financial Instruments

The determination of fair value of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instrument is described in Note 40 to the Financial Statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 40.1 to the Financial Statements.



V. Financial Assets and Financial Liabilities Classification

The Company's accounting policies provide scope for assets and liabilities to be classified, at inception in to different accounting categories. The classification of financial instrument is given in Note 40 "Analysis of Financial Instruments by Measurement Basis".

VI. Useful life of Property, Plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation and amortization of Property, Plant, Equipment and Intangible Assets at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VII. Taxation

The Company is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The Company has adopted the requirements of the New Inland Revenue Act 24 of 2017 which was effective from 1 April 2018 and deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

Further, deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

VIII. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognized in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 43.2 for more details on Commitments and Contingencies.

IX. Revaluation of Free Hold Land (Property, Plant and Equipment)

Prior to 31st March 2021, the Company's accounting policy was to measure Free Hold Land under the cost model in LKAS 16 Property, Plant and Equipment (LKAS 16) whereby, after initial recognition, free hold land was carried at its historical cost less accumulated impairment losses, if any.

At the period ended 31 March 2021 the Company changed its accounting policy to measure the Company's free hold land from a cost model to revaluation model, where free hold land is measured at fair value less accumulated impairment losses recognized after the date of revaluation ("revaluation model"), in accordance with LKAS 16. The Company determined that the land constitute separate class of property, plant and equipment, based on their nature, characteristics and risks. The Company engages an independent valuation specialist to determine the fair value of freehold land in terms of Sri Lanka Accounting Standard off Fair Value Measurement (SLFRS 13).

The Company believes that a revaluation model provides more relevant information to the users of its financial statements as it is aligned to accounting practices adopted by its parent. In addition, available valuation techniques provide reliable estimates of the free hold land fair value where, the results of the revaluation were brought into the Financial Statements ensures that the carrying amount of such freehold land reflects the market price prevailed at that time.



Revaluation Model

The Company applies the revaluation model to the entire class of freehold land. Such properties are carried at a revalue amount, being the fair value at the date of revaluation less any subsequent accumulated impairment losses.

On an asset revaluation, Income Statement was get charged where, any increase in the carrying amount is recognized in 'Other comprehensive income' and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset. In these circumstances, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the Income Statement or debited to the other comprehensive income to the extent of any credit balance existing in the capital reserve in respect of that asset.

The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

3. GENERAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements of the company unless otherwise indicated.

3.1 Financial Instruments-Initial Recognition, Classification and Subsequent Measurement**3.1.1 Date of Recognition**

All financial assets and liabilities are initially recognised on the trade date, i.e., the date that the Company becomes a party to the contractual provisions of the instrument. This includes "regular way trades". Regular way trade means purchases or sales of financial assets within the time frame generally established by regulation or convention in the marketplace.

3.1.2 Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss (FVPL), transaction costs are added to, or subtracted from, this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for "Day 1 profit or loss", as described below.

3.1.3 'Day 1' profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in the Income Statement over the tenor of the financial instrument using effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Income Statement when the inputs become observable, or when the instrument is derecognised.



3.1.4 Measurement categories of Financial Assets and Financial Liabilities

As per SLFRS 9, the Company classifies all its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either; On initial recognition, a financial asset is classified as measured at,

- Amortised Cost,
- Fair Value Through Other Comprehensive Income (FVOCI) or
- Fair value Through Profit or Loss. (FVPL)

The subsequent measurement of financial assets depends on their classification.

Financial liabilities are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments or the fair value designation is applied.

3.1.4 (a) (i). Financial Assets at Amortised cost:

The Company only measures loans, receivables, and other financial investments, at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Financial Assets consist of cash and bank balances, securities purchased under repurchase agreements, placement with banks, lease rentals receivable & stock out on hire, loan receivables, and other financial assets.

The details of the above conditions are outlined below.

Business model assessment

The Company determines its business model at the level that best reflect how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's Key Management Personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair values of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment

The business model assessment is based on reasonably expected scenarios without taking "worst case" or "stress case" scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process, the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium discount).



The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms of that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

3.1.4 (a) (ii) Equity instruments at FVOCI

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of definition of Equity under I.KAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

Currently, the Company has recorded its non-quoted equity investments FVOCI at cost less ECL if any. The details of equity instruments at FVOCI are given in Note 22 to the Financial Statements.

3.1.4 (a) (iii) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The company does not have compound financial instruments which contains both a liability and an equity component and require separation as at the date of the issue.

Currently, the Company has recorded Debt issued and other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans, debentures.

3.1.4 (a) (iv) Fair value Through Profit or Loss. (FVPL)

All financial assets other than those classified at amortised cost or FVOCI are classified as measured at FVTPL. Financial assets at fair value through profit or loss include financial assets that are held for trading or managed and whose performance is evaluated on a fair value basis as they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets and financial assets designated upon initial recognition at fair value through profit or loss.

Financial assets are designated at fair value through profit or loss if the company manages such investments and makes purchase and sale decisions based on their fair value in accordance with the company's investment strategy. Attributable transaction costs and net trading profit or loss are recognised in statement of profit or loss as incurred.

Financial assets at fair value through profit and loss are carried in the statement of financial position at fair value with changes in fair value recognised in the statement of profit or loss and the net trading.

Financial assets at fair value through profit or loss comprises of unit trusts.

3.1.5 Cash and Bank balances

Cash and bank balances comprise cash in hand, balances with banks, loans at call and at short notice that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments. Details of cash and bank balances are given in Note 16 to Financial Statements.



3.1.6 Classification and Subsequent Measurement of Financial Liabilities

Financial liabilities, other than loan commitments and financial guarantees, are classified as,

- (i) Financial liabilities at Fair Value through Profit or Loss (FVTPL)
 - a) Financial liabilities held for trading
 - b) Financial liabilities designated at fair value through profit or loss
- (ii) Financial liabilities at amortised cost, when they are held for trading and derivative instruments or the fair value designation is applied.

The subsequent measurement of financial liabilities depends on their classification.

i. Financial Liabilities at Fair Value Through Profit or Loss (FVTPL)

Financial Liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are fair value, and changes therein recognized in Income Statement. No such liabilities as at the reporting date.

ii. Financial Liabilities at Amortised Cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortised cost under "Due to banks", "Due to customers" and "Other borrowed fund, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder.

After initial measurement, financial liabilities are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument.

Currently, the Company has recorded Due to Banks & Other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans and securitizations.

3.1.7 Reclassifications of Financial assets and Financial Liabilities

The Company does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Company acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified. The Company did not reclassify any of its financial assets or liabilities during the financial year.

3.1.8 Derecognition of Financial Assets and Financial Liabilities**3.1.8 (a) Derecognition due to substantial modification of terms and conditions**

The Company derecognises a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans are classified as Stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Company considers the following factors:

- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion.

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Company records a modification gain or loss, to the extent that an impairment loss has not already been recorded.



3.1.8 (b) Derecognition other than for substantial modification**3.1.8 (b) (i) Derecognition of Financial Assets**

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
- Or
- It retains the rights to cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

Pass-through arrangements are transactions whereby the Company retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Company has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates.
- The Company cannot sell or pledge the original asset other than as security to the eventual recipients
- The Company has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Company is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either:

- The Company has transferred substantially all the risks and rewards of the asset
- Or
- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises as associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Company could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Company would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the entity's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.



3.1.8 (b) (ii) Derecognition - Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

3.1.9 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The disclosure of fair value of financial instruments are disclosed in Note 39 to the Financial Statements.

3.1.10 Impairment of Financial Assets**3.1.10 (i) a. Overview of the expected credit loss (ECL) principles**

The Company recognizes expected credit losses for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under SLFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL). The Company's policies for determining if there has been a significant increase in credit risk are set out in Note 41.4.1 (c)



The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Company established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its loans into Stage 1, Stage 2, Stage 3 and POCI, as described below.

Stage 1: When loans are first recognised, the Company recognises an allowance based on 12m ECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

Stage 2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 3: Loans considered credit-impaired. The Company records an allowance for the LTECLs.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognized based on a credit-adjusted EIR. ECLs are only recognized or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

b. The Calculation of Expected Credit Loss (ECL)

The Company calculates ECLs based on four probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive. The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD: The probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD: The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued interest from missed payments.

LGD: The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The mechanisms of the ECL method are summarised below.

Stage 1: The 12mECL is calculated as the portion of LTECLs that represent the ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. The expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation of the original EIR.



Stage2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EIR.

Stage 3: For loans considered credit-impaired, the Company recognises the lifetime expected credit losses for these loans. The method is similar to that for Stage 2 assets, with the PD set at 100%.

c. Forward looking information

In its ECL models, the Company relies on a broad range of forward-looking information as economic inputs, such as:

- GDP growth
- Unemployment rate
- Central Bank base rates
- Inflation

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the Financial Statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material. (Note 41.4.1(g))

3.1.10 (ii) Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the income statement.

3.1.10 (iii) Renegotiated Loans

The Company makes concessions or modifications to the original terms of loans as a response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. The Company considers a loan renegotiated when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Company would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Renegotiated loans may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of the terms. It is the Company's policy to monitor renegotiated loans to help ensure that future payments continue to be likely to occur. Derecognition decisions and classification between Stage 2 and Stage 3 are determined on a case-by-case basis. If these procedures identify a loss in relation to a loan, it is disclosed and managed as an impaired Stage 3 renegotiated asset until it collected or written off.

3.1.10 (v) Write-off of Financial Assets at Amortised Cost

Financial Assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

3.1.10 (vi) Collateral Valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letter of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.



To the extent possible, the Company uses active market data for valuing financial assets, held as collateral. Other financial assets which do not have readily determinable market value are valued using models.

Nonfinancial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers, Audited Financial Statements and other independent sources.

3.1.10 (vii). Collateral repossessed

The Company's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations will be transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

3.1.10 (viii). Offsetting Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements; therefore, the related assets and liabilities are presented gross in the Statement of Financial Position.

Income and expenses are presented on a net basis only when permitted under LKAS/ SLFRS, or for gains and losses arising from a group of similar transactions such as in the group's trading activity.

3.1.11 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

3.1.12 Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

3.1.13 Borrowings

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.



3.2 Leases**3.2.1 Identification of a Lease**

The Company assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used. After the assessment of whether a contract is, or contains, a lease, the Company determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16. Accordingly, the right to use of an identifying asset is a separate lease component if the lessee can benefit from the use of underlying asset either on its own or together with other resources readily available to the lessee and the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

3.2.1.1 Company as a lessee

As per SLFRS 16, when the Company has determined that a contract contains a lease component and one or more additional lease components or non-lease components, the consideration in the contract is allocated to each lease component on the basis of relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. At the commencement date, the Company recognises right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the Incremental Borrowing Rate.

Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). The Right-of-use assets are initially measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

The right of use asset is subsequently depreciated using straight line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Details of "Right-of-use asset" are given in Note 29.

Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any lease incentives receivable), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

Details of "Lease liability" are given in Notes 29.2

3.2.1.2 Company as a lessor

Similar to above, at the commencement of the contract, the Company determines whether the contract contains a lease component and one or more additional lease components or non-lease components. When there is one or more additional lease or non-lease component, the Company allocates consideration based on the guidelines given in SLFRS 15.

However, SLFRS 16 largely retains the lessor accounting requirements in LKAS 17 and classification of leases is based on the extent to which risks and rewards incidental to ownership of leased asset lie with the lessor or lessee.



3.2.1.2.1 Finance leases – Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the SOFP and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal to the fair value of the underlying asset and initial direct costs. The finance income receivable is recognised in “interest income” over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

3.2.1.2.2 Operating leases – Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The Company recognises lease payments from operating leases as income on straight line basis. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

Details of “Operating leases” are given in Note 29.

3.3 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost	-	Land Cost with Legal Charges.
Cost of Conversion	-	Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale

3.4 Non – Financial Assets**3.4.1 Property, Plant & Equipment**

Property, plant & equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

Basis of Recognition and Measurement**- Cost Model**

An item of property, plant & equipment that qualifies for recognition as an asset is initially measured at its costs. Costs include expenditure that is directly attributable to the acquisition of the asset and cost is incurred subsequently to add to or replace a part of it.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs.

When parts or components of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.



The Company applies the cost model to property, plant & equipment except the freehold land and records at cost of purchase or construction together with any incidental expense thereon less accumulated depreciation and any accumulated impairment losses.

Changes in the expected useful life are accounted by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

Revaluation Model

The Company applies the revaluation model to the entire class of freehold land. Such properties are carried at a revalued amount, being the fair value at the date of revaluation less any subsequent accumulated impairment losses. Freehold land of the Company is revalued once in every year, if the fair values are substantially different from carrying amounts to ensure that the carrying amounts do not differ from the fair values at the reporting date. The Company has revalued its freehold land as at 31.03.2023 and details of the revaluation are given in Note 28.7 to the Financial Statements.

On revaluation of an asset, any increase in the carrying amount is recognised in Other comprehensive income and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the Income Statement. In these circumstances, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the Income Statement or debited to the other comprehensive income to the extent of any credit balance existing in the capital reserve in respect of that asset.

The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Company and its cost can be reliably measured. The costs of the day-to-day servicing property, plant and equipment are charged to the Statement of Comprehensive Income.

Repairs and Maintenance

Repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Depreciation

The provision for depreciation is calculated by using the straight-line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

Asset Category	Rate of Depreciation (per annum)
• Furniture & Fittings	12.5% - 33.33%
• Office Equipment	12.5%
• Motor Vehicle	12.5%
• Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.



De-recognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised.

Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

3.4.2 Intangible Assets

The Company's intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

Amortization

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual value over their estimated useful life as follows:

Asset Category	Useful life
• Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortized balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.



Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

3.4.3 Impairment of Non-Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset or Cash Generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

3.5 Retirement Benefit Obligations**3.5.1 Defined Benefit Plan - Gratuity**

All the employees of the company are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983, at the rate of one half of the Gross Salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years.

The Company measures the present value of the promised retirement benefits for gratuity which is a defined benefit plan with the advice of an independent professional actuary using projected unit credit actuarial cost method as required by Sri Lanka Accounting Standard - LKAS 19 on "Employee Benefits".

The item is stated under other liabilities in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.

Interest Cost

Interest cost is the expected increase due to interest during the period in the present value of the planned liabilities because the benefits are one year closer to settlement.

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.



3.5.2 Defined Contribution Plans

The Company also contributes defined contribution plans. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee's total earnings (as defined in the Employees' Provident Fund) to the Employees' Provident Fund.

Employees' Trust Fund

The Company contributes 3% of the employee's total earnings (as defined in the Employees' Trust Fund) to the Employees' Trust Fund.

3.6 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with Sri Lanka Accounting Standard- LKAS 37 on 'provision, contingent liabilities and contingent assets.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligations at that date.

When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement.

3.7 Recognition of Interest Income Interest Expense

3.7.1 Interest income and Interest Expense

Under SLFRS 9, interest income and interest expense is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortised cost. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

The EIR (and therefore, the amortised cost of the asset/liability) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognises interest income/expense using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset/liability are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income/interest expense. The adjustment is subsequently amortised through Interest income/Interest expense in the income statement.

When a financial asset becomes credit-impaired (as set out in Note 41 and is, therefore, regarded as 'Stage 3', the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVPL is recognised using the contractual interest rate under net interest income.



3.7.2 Interest Income on Overdue Rentals

Interest from overdue rentals has been accounted when they are received.

3.8 Fee and Commission Income and Expenses

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate.

Fee and Commission income – including account Credit related fees & commission, Service charge, Transfer Fees and other fees income – is recognised as the related services are performed. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognised on a straight-line basis over the commitment period.

Fees earned for the provision of services over a period of time are accrued over that period

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

3.9 Dividend Income

Dividend income is recognised when the right to receive income is established.

3.10 Income from Government Securities and Securities purchased under Re-Sale Agreement

Discounts/ premium on Treasury bills & Treasury bonds are amortised over the period to reflect a constant periodic rate of return. The coupon interest on treasury bonds is recognised on an accrual basis. The interest income on securities purchased under resale agreement is recognised in the Income Statement on an accrual basis over the period of the agreement.

3.11 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

3.12 Recovery of Bad Debts Written Off

Recovery of amounts written off as bad and doubtful debts is recognised upon received.

3.13 Personnel Expenses

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay all employee benefits relating to employee services in the current and prior periods and the obligation can be estimated reliably.

3.14 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.



3.15 Taxes

As per Sri Lanka Accounting Standard -LKAS 12 (Income Taxes), tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Income Statement, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income.

3.15.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantially enacted on the reporting date and any adjustment to the tax payable in respect of prior years.

Accordingly, The Company computed the income tax liability for the first six month of the year of assessment 2022/2023 by applying the income tax rate of 24%. The revised income tax rate of 30% and other amendments in line with the Inland Revenue (Amendment) Act No. 45 of 2022 were considered to calculate the income tax liability of the Company for second six month of the year of assessment 2022/2023.

Current tax relating to items recognised directly in equity is recognised in equity and in the Statement of Comprehensive Income.

3.15.2 Deferred tax

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

3.15.3 Value Added Tax on Financial Services (VATFS) and Social Security Contribution Levy (SSCL)

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VATFS and income tax adjusted for the economic depreciation and emoluments of employees including cash, non-cash benefits and provisions relating to terminal benefits, computed on prescribed rate.



Social Security Contribution Levy (SSCL) shall be paid by any person carrying on the business of supplying financial services, on the liable turnover specified in the Second Schedule of the Social Security Contribution Levy Act No.25 of 2022 (SSCL Act), at the rate of 2.5%, with effect from 01 October 2022. SSCL is payable on 100% of the Value Addition attributable to financial services.

3.16 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments).

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

3.17 Regulatory provisions

a. Statutory Reserve Fund

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly, 5% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

b. Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1 October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.15% on total amount of eligible deposits as at end of the month with in a period of 15 days from the end of the respective month



c. Crop Insurance Levy (CIL)

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

D. Regulatory Loss Allowance Reserve

Where the loss allowances for expected credit loss falls below the regulatory provisions (i.e., provision and accrued interest in NPL), Company shall maintain the additional loss allowance in a non-distributable regulatory loss allowance reserve (RLAR) through an appropriation of its retained earnings. The additional loss allowance shall be maintained in the RLAR at all times. When loss allowance for expected credit losses exceeds the regulatory provision, the Company may transfer the excess amount in the RLAR to its retained earnings. Company has provided the difference of regulatory provision and impairment provision as per SLFRS 09.

3.18 Earnings per Share (EPS)

Basic EPS is calculated by dividing the net profit or loss attributable to ordinary equity shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares if any.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE

The following Sri Lanka Accounting Standards and interpretations were issued by The Institute of Chartered Accountants of Sri Lanka but not yet effective as at 31 March 2023. Accordingly, these accounting standards have not been applied in the preparation of the Financial Statements for the year ended 31 March 2023.

Following amendment is not expected to have a material impact on the Financial Statements of the Company in the foreseeable future.

SLFRS 17 Insurance Contracts

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in SLFRS 4, which are largely based on grandfathering previous local accounting policies, SLFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2025, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

Definition of Accounting Estimates - Amendments to LKAS 8

The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, they clarify how entities use measurement techniques and inputs to develop accounting estimates. The amended standard clarifies that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.



The amendments are effective for annual reporting periods beginning on or after 1 January 2023. Earlier application is permitted.

Deferred Tax related to Assets and Liabilities arising from a Single Transaction - Amendments to LKAS 12.

The amendments clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognised in the financial statements (and interest expense) or to the related asset component (and interest expense). This judgement is important in determining whether any temporary differences exist on initial recognition of the asset and liability.

Also, under the amendments, the initial recognition exception does not apply to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences. It only applies if the recognition of a lease asset and lease liability (or decommissioning liability and decommissioning asset component) give rise to taxable and deductible temporary differences that are not equal.

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

Disclosure of Accounting Policies - Amendments to LKAS 1 and IFRS Practice Statement 2

Amendments to LKAS 1 and IFRS Practice Statement 2 Making Materiality Judgements, provides guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide

- Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.

Classification of Liabilities as Current or Non-current - Amendments to LKAS 1

Amendments to LKAS 1 Presentation of Financial Statements specify the requirements for classifying liabilities as current or non-current. The amendments clarify,

- What is meant by a right to defer settlement
- That a right to defer must exist at the end of the reporting period
- That classification is unaffected by the likelihood that an entity will exercise its deferral right
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification
- Disclosures

The amendments are effective for annual reporting periods beginning on or after 1 January 2023.



5. INCOME	2023 Rs.	2022 Rs.
Interest Income	2,651,738,774	1,932,052,227
Fee & Commission Income	190,985,038	161,686,573
Net Gain/(Loss) from Trading	2,650,600	6,443,343
Other Operating Income	12,476,086	21,840,132
	<u>2,857,850,498</u>	<u>2,122,022,275</u>
5.1 Interest Income		
Loans and Advances	199,372,607	191,076,821
Lease Rentals Receivable & Stock out on Hire	2,144,986,203	1,671,717,496
Financial Investments in Government Securities	206,234,552	53,095,051
Interest Income on Debt Securities	25,372,894	1,922,510
Other Financial Assets	277,295	1,421,847
Placement with Banks	75,495,223	12,818,502
Total Interest Income	<u>2,651,738,774</u>	<u>1,932,052,227</u>
5.2 Interest Expenses	2023 Rs.	2022 Rs.
Due to Banks	13,532,809	17,159,191
Due to Customers	774,817,951	391,488,634
Other Borrowed Funds	425,075,518	124,842,837
Leased Assets (Note 29.2)	17,408,500	13,543,777
Total Interest Expenses	<u>1,230,834,778</u>	<u>547,034,438</u>
6. NET FEE AND COMMISSION INCOME	2023 Rs.	2022 Rs.
6.1 Fee and Commission Income		
Credit Related Fees and Commissions	94,261,119	78,723,161
Service Charge	60,974,217	49,288,610
Transfer Fees	35,253,790	32,849,324
Other Fees	495,912	825,478
Total Fee and Commission Income	<u>190,985,038</u>	<u>161,686,573</u>
6.2 Fee and Commission Expenses		
Brokerage Fees	26,548,114	21,674,478
Total Fee and Commission Expenses	<u>26,548,114</u>	<u>21,674,478</u>
Net Fee and Commission Income	<u>164,436,924</u>	<u>140,012,096</u>
7. NET GAIN/(LOSS) FROM TRADING	2023 Rs.	2022 Rs.
Dividend Income from Financial Investments - Held for Trading	240,240	240,000
Income- Unit trust investments	2,410,360	6,203,343
	<u>2,650,600</u>	<u>6,443,343</u>



8. OTHER OPERATING INCOME

	2023 Rs.	2022 Rs.
Profit on disposal of Property & Equipment	(888,197)	3,990
Bad Debt Recoveries	6,354,923	10,698,452
Income From Sale of Real Estate	-	-
Others	7,009,360	11,137,690
Total Other Operating Income	12,476,086	21,840,132

9. CREDIT LOSS EXPENSE ON FINANCIAL ASSETS AND OTHER LOSSES

9.1 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2022/2023 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Loans and Advances	(18,307,445)	(4,374,799)	11,298,636	(11,383,608)
Lease Rentals Receivable & Stock Out on Hire	(19,509,166)	(22,659,361)	46,996,764	4,828,237
Other Debtors	-	-	88,712,160	88,712,160
	(37,816,611)	(27,034,160)	147,007,560	82,156,789

9.2 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2021/2022 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Cash and Bank Balances	-	-	-	-
Placement With Banks	-	-	-	-
Loans and Advances	25,239,564	(4,268,646)	1,460,650	22,431,568
Lease Rentals Receivable & Stock Out on Hire	48,010,380	28,244,227	13,919,065	90,173,672
Other Debtors	-	-	17,895,155	17,895,155
	73,249,944	23,975,581	33,274,870	130,500,395

10. PERSONNEL COSTS

	2023 Rs.	2022 Rs.
Salaries and Bonus	282,604,536	254,527,745
Employer's Contribution to EPF	27,767,200	23,959,258
Employer's Contribution to ETF	6,941,800	5,989,815
Gratuity Charge/ (Reversals) for the Year (Note 36.1)	9,287,345	5,261,365
Other Allowances & Staff Related Expenses	73,233,483	45,803,587
	399,834,364	335,541,769

11. DEPRECIATION & AMORTIZATION

	2023 Rs.	2022 Rs.
Depreciation of Property Plant & Equipment	16,370,809	15,775,818
Amortization of intangible assets	6,004,183	5,915,655
Depreciation of Leased Assets (Note 29.1)	43,972,272	43,497,322
	66,347,264	65,188,794

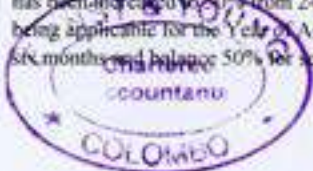


NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2023

12. OTHER OPERATING EXPENSES		2023 Rs.	2022 Rs.
Directors' Emoluments		6,340,000	5,760,000
Auditors Remuneration	- Audit	1,903,508	985,600
	- Non Audit	400,000	1,426,546
Professional & Legal Expenses		7,490,638	28,919,996
Office Administration & Establishment Expenses		183,341,828	106,615,746
Advertising & Business Promotion Expenses		54,988,374	41,134,960
Deposit Insurance premium		5,947,605	6,589,843
Loss on disposal of Property & Equipment		-	-
Others		109,222,070	90,708,229
		<u>369,634,023</u>	<u>282,140,919</u>
13. TAXES ON FINANCIAL SERVICES		2023 Rs.	2022 Rs.
Value added tax on financial services		134,307,374	124,530,792
Social Security Contribution Levy		14,919,141	-
Nation building tax on financial services		40,229	-
Debt repayment levy on financial services		-	172,485
		<u>149,266,744</u>	<u>124,703,276</u>
14. TAXATION			
14.1 The major components of income tax expense for the years ended 31 March are as follows.			
(A) Statement of Profit or Loss		2023 Rs.	2022 Rs.
Current Income Tax			
Income Tax for the year		185,086,740	162,387,182
Deferred Tax			
Deferred Taxation Charge/ (Reversal) (Refer Note 30)		(6,920,806)	22,542,232
		<u>178,165,934</u>	<u>184,929,414</u>
(B) Other Comprehensive Income			
Deferred Tax			
Deferred Taxation Charge/ (Reversal) (Refer Note 30)		6,873,472	571,270
		<u>6,873,472</u>	<u>571,270</u>
(C) Total Tax Expense for the year		<u>185,039,406</u>	<u>185,500,684</u>
(D) Effect of tax rate change on deferred taxes: It is necessary to present the amount of deferred tax expense (income) relating to changes in income tax rates on the opening balance. This is the effect on the opening deferred tax asset/liability by change in tax rate from 24% to 30%.			
Statement of Profit or Loss		2023	2022
Charge/(Reversal) arising on during the year movement		(5,221,547)	22,542,232
Charge/(Reversal) due to changes in Tax Rate		(1,699,259)	-
14.2 Reconciliation of Accounting Profit and Taxable Income			
A reconciliation between the tax expense and the accounting profit multiplied by the tax rate as per the Inland Revenue Act for the Years ended 31 March 2023 and 2022 is as follows.			
		2023 Rs.	2022 Rs.
Accounting Profit Before Income Taxation		Total	
At the statutory income tax rate of 24%/30%		533,228,422	615,238,205
		143,889,500	147,657,169
Tax Effect on			
Disallowable Expenses		83,823,214	82,233,317
Tax Deductible Expenses		(48,653,100)	(76,225,718)
Non-taxable Income/ Losses		6,027,126	8,722,414
Income Tax		185,086,740	162,387,182
Deferred Taxation Charge/(Reversal) (Note 30)		(6,920,806)	22,542,232
Total Tax Expense (Note 14.1 (A))		<u>178,165,934</u>	<u>184,929,414</u>
Effective tax rate		33%	30%

The Inland Revenue (Amendment) Act No 45 of 2022 was certified by the Speaker on 19th December 2022. The standard rate of Income Tax has been increased from 24% w.e.f. 1st October 2022. The increase in income tax rate to 30% in mid year has resulted in two tax rates being applicable for the Year of Assessment 2022/23. The Company has computed the current tax payable on a pro rata basis (i.e. 50% for first six months and balance 50% for second six months) for the Year of Assessment 2022/23.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2023

15. EARNINGS PER ORDINARY SHARE

The Company presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

15.1 Earnings per Share: Basic / Diluted	2023 Rs.	2022 Rs.
Amount used as the numerator		
Profit after tax for the year attributable to equity holders (Rs.)	355,062,488	430,308,791
No. of ordinary shares used as the denominator		
Number of ordinary shares (Note 37.1)	73,693,171	66,561,573
Basic / diluted earnings per ordinary share (Rs.)	<u>4.82</u>	<u>6.46</u>

16. CASH AND BANK BALANCES	2023 Rs.	2022 Rs.
Cash in Hand	67,635,464	50,348,022
Balances with Banks	303,926,087	133,471,472
Less: Allowance for expected credit losses	(16,220)	(16,220)
	<u>371,545,331</u>	<u>183,803,273</u>

16.1 The movement in provision for expected credit losses are as follows.

	2023		2022	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	16,220	16,220	19,174	19,174
Charge/(Reversal) to Income Statement	-	-	(2,954)	(2,954)
Balance as at 31 March	<u>16,220</u>	<u>16,220</u>	<u>16,220</u>	<u>16,220</u>

16.2 Cash and Cash Equivalents in the Cash Flow Statement	2023 Rs.	2022 Rs.
Cash and Bank Balances	371,561,551	183,819,494
Bank Overdrafts	(2,087,507)	(17,480,490)
Treasury Bills and Repurchase Agreements	985,023,964	790,285,958
Placement with Banks	321,831,914	470,832,295
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u>1,676,329,922</u>	<u>1,427,457,257</u>



17. PLACEMENT WITH BANKS

	2023 Rs.	2022 Rs.
Fixed Deposit Investments	434,017,093	485,698,075
Less: Allowance for expected credit losses	(35,659)	(35,659)
	<u>433,981,434</u>	<u>485,662,416</u>

17.1 The movement in provision for expected credit losses are as follows.

	2023		2022	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	35,659	35,659	35,659	35,659
Charge/(Reversal) to Income Statement	-	-	-	-
Balance as at 31 March	<u>35,659</u>	<u>35,659</u>	<u>35,659</u>	<u>35,659</u>

Fixed Deposit Investments include Investments amounting to Rs 53,775,584/- that have been Pledged for facilities obtained from Banks.

18. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2023 Rs.	2022 Rs.
Repurchased Agreements	271,331,939	255,049,144
	<u>271,331,939</u>	<u>255,049,144</u>

19. LOANS AND ADVANCES

	2023 Rs.	2022 Rs.
Real Estate Loans	47,513	47,513
Mortgage Loans	174,043,830	206,910,292
Personnel Loans	212,664,908	421,650,383
Loans against Fixed Deposits	245,230,622	75,896,051
Staff Loans	65,476,280	53,018,288
Revolving Loans	80,286,196	92,253,218
Auto draft	134,727,494	151,730,692
Business Loans	207,780,923	211,026,669
Other Loans	202,124,454	212,994,384
	<u>1,322,382,220</u>	<u>1,425,527,490</u>
Other Charges Receivable	32,668,630	30,397,943
	<u>1,355,050,850</u>	<u>1,455,925,433</u>
Less : Allowance for Impairment Losses (Note 19.1)	(335,402,350)	(346,785,959)
Net Loans and Advances	<u>1,019,648,500</u>	<u>1,109,139,474</u>

19.1 Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2023

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	378,870,780	378,870,780
Loans and Advances subject to Collective Impairment	602,368,471	103,272,315	270,539,284	976,180,070
Allowances for Expected Credit Losses	(11,667,792)	(10,907,395)	(312,827,163)	(335,402,350)
	<u>590,700,679</u>	<u>92,364,920</u>	<u>336,582,901</u>	<u>1,019,648,500</u>

Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2022

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Loans and Advances	-	-	419,111,413	419,111,413
Loans and Advances subject to Collective Impairment	632,565,461	99,058,033	305,190,526	1,036,814,020
Allowances for Expected Credit Losses	(29,975,237)	(15,282,194)	(301,528,527)	(346,785,959)
	<u>602,590,224</u>	<u>83,775,839</u>	<u>422,773,412</u>	<u>1,109,139,474</u>

19.2 Allowance for Impairment Losses

	2023 Rs.	2022 Rs.
As at 01 April	346,785,959	324,354,391
Charge / (Reversal) for the year	(11,383,610)	22,431,568
Amounts written off	-	-
As at 31 March	<u>335,402,350</u>	<u>346,785,959</u>
Individual Impairment	249,864,946	237,301,869
Collective Impairment	85,537,403	109,484,090
	<u>335,402,350</u>	<u>346,785,959</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>378,870,780</u>	<u>419,111,412</u>



19. LOANS AND ADVANCES (Contd...)

19.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2022	29,975,237	15,282,194	301,528,527	346,785,959
Charge/(Reversal) to Income Statement	(18,307,445)	(4,374,799)	11,298,636	(11,383,609)
Amounts written off	-	-	-	-
Balance as at 31 March 2023	11,667,792	10,907,395	312,827,163	335,402,350

Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2021	4,735,673	19,550,841	300,067,877	324,354,391
Charge/(Reversal) to Income Statement	25,239,564	(4,268,647)	1,460,650	22,431,567
Amounts written off	-	-	-	-
Balance as at 31 March 2022	29,975,237	15,282,194	301,528,527	346,785,958

20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2023 Rs.	2022 Rs.
Gross rentals receivables		
-Lease Rentals	12,041,992,983	10,763,223,051
-Amounts Receivable from Hirers	23,478,086	26,760,489
	12,065,471,069	10,789,983,540
Less: Unearned Income	(3,731,952,729)	(3,199,915,036)
Net rentals receivables	8,333,518,340	7,590,068,504
Less : Suspended VAT	(3,446,174)	(3,554,596)
	8,330,072,166	7,586,513,908
Other Charges Receivable	220,653,661	171,659,231
	8,550,725,827	7,758,173,139
Less : Allowance for Impairment Losses (Note 20.1)	(763,242,481)	(758,414,244)
Total Net Rentals Receivable	7,787,483,346	6,999,758,895

20.1 Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2023

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables			159,250,771	159,250,771
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,953,692,736	1,731,962,468	2,705,819,852	8,391,475,056
Allowances for Expected Credit Losses	(145,756,402)	(110,561,656)	(506,924,423)	(763,242,481)
	3,807,936,334	1,621,400,812	2,198,895,430	7,787,483,346

Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2022	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	315,804,213	315,804,213
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	4,197,424,718	1,501,445,852	1,743,498,356	7,442,368,926
Allowances for Expected Credit Losses	(165,265,568)	(133,221,017)	(459,927,659)	(758,414,244)
	4,032,159,150	1,368,224,835	1,599,374,910	6,999,758,895



20. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)

20.2 Allowance for Impairment Losses		2023 Rs.	2022 Rs.
As at 01 April		758,414,244	668,240,572
Charge / (Reversal) for the year		4,828,237	90,173,672
Amounts written off		-	-
As at 31 March		763,242,481	758,414,244
Individual Impairment		83,410,308	145,436,567
Collective Impairment		679,832,173	612,977,677
		763,242,481	758,414,244
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance		159,250,771	315,804,213

20.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 31 March 2022	165,265,568	133,221,017	459,927,659	758,414,244
Charge/(Reversal) to Income Statement	(19,509,166)	(22,659,361)	46,996,764	4,828,237
Amounts written off	-	-	-	-
Balance as at 31 March 2023	145,756,402	110,561,656	506,924,423	763,242,481
Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2021	117,255,188	104,976,790	446,008,594	668,240,572
Charge/(Reversal) to Income Statement	48,010,380	28,244,227	13,919,065	90,173,672
Amounts written off	-	-	-	-
Balance as at 31 March 2022	165,265,568	133,221,017	459,927,659	758,414,244
	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.

20.4 As at 31 March 2023				
Gross rentals receivables				
-Lease Rentals	11,079,880,530	714,311,144	247,801,310	12,041,992,984
-Amounts Receivable form Hirers	2,711,452	4,773,607	15,993,027	23,478,086
	11,082,591,982	719,084,751	263,794,337	12,065,471,070
Less: Unearned Income	(3,634,286,160)	(97,666,568)	-	(3,731,952,728)
Net rentals receivables	7,448,305,822	621,418,183	263,794,337	8,333,518,342
Less : Suspended VAT				(3,446,174)
				8,330,072,168
Other Charges Receivable				220,653,661
				8,550,725,829
Less : Allowance for Impairment Losses				(763,242,481)
Total net rentals receivable				7,787,483,348
	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.

As at 31 March 2022				
Gross rentals receivables				
-Lease Rentals	4,628,019,854	6,093,322,094	41,881,103	10,763,223,051
-Amounts Receivable form Hirers	26,744,026	16,463	-	26,760,489
	4,654,763,880	6,093,338,557	41,881,103	10,789,983,540
Less: Unearned Income	(1,528,192,924)	(1,665,890,571)	(5,831,541)	(3,199,915,036)
Net rentals receivables	3,126,570,956	4,427,447,986	36,049,562	7,590,068,504
Less : Suspended VAT				(3,554,596)
				7,586,513,908
Other Charges Receivable				171,659,231
				7,758,173,139
Less : Allowance for Impairment Losses				(758,414,244)
Total net rentals receivable				6,999,758,895

21. FINANCIAL INVESTMENTS -FAIR VALUE THROUGH PROFIT AND LOSS

	2023 Rs.	2022 Rs.
Unit trust investments	8,613,335	291,202,975
	<u>8,613,335</u>	<u>291,202,975</u>

22. FINANCIAL INVESTMENTS -FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME / AVAILABLE FOR SALE

	2023 Rs.	2022 Rs.
Credit Information Bureau-Unquoted Equities *	80,400	80,400
	<u>80,400</u>	<u>80,400</u>

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

23. DEBT INSTRUMENTS AT AMORTISED COST / FINANCIAL INVESTMENTS - HELD TO MATURITY

	2023 Rs.	2022 Rs.
Government of Sri Lanka Treasury Bills	713,692,026	535,236,815
Investment in Debt Securities	-	51,549,658
Interest Receivable on Debt Securities	-	372,852
	<u>713,692,026</u>	<u>587,159,325</u>

24. OTHER FINANCIAL ASSETS

	2023 Rs.	2022 Rs.
Reposessed Stock	40,554,235	2,010,024
Other Receivables	113,172,754	87,054,490
	<u>153,726,989</u>	<u>89,064,514</u>
Less : Allowance for Impairment Losses (Note 24.1)	<u>(67,827,218)</u>	<u>(2,010,024)</u>
	<u>85,899,771</u>	<u>87,054,490</u>
Deposit	23,562,214	20,220,959
Due From Related Parties	3,149,648	3,693,293
	<u>112,611,633</u>	<u>110,968,742</u>

Reposessed stock of the Company and the corresponding ECL allowances are grouped under Stage 3.

24.1 Allowance for Impairment Losses	2023 Rs.	2022 Rs.
As at 01 April	2,010,024	5,219,722
Charge / (Reversal) for the year	88,712,161	17,895,155
Amounts written off	<u>(22,894,967)</u>	<u>(21,104,853)</u>
As at 31 March	<u>67,827,218</u>	<u>2,010,024</u>
Individual Impairment	186,852	-
Collective Impairment	<u>67,640,366</u>	<u>2,010,024</u>
	<u>67,827,218</u>	<u>2,010,024</u>



24. OTHER FINANCIAL ASSETS (Contd...)

24.2 Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2022	2,010,024	2,010,024
Charge/(Reversal) to Income Statement	67,827,218	67,827,218
Amounts written off	(22,763,898)	(22,763,898)
Balance as at 31 March 2023	47,073,344	47,073,344

Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2021	5,219,722	5,219,722
Charge/(Reversal) to Income Statement	17,895,155	17,895,155
Amounts written off	(21,104,853)	(21,104,853)
Balance as at 31 March 2022	2,010,024	2,010,024

25. REAL ESTATE STOCK

	2023 Rs.	2022 Rs.
Real Estate Stocks	38,468,202	32,066,726
	38,468,202	32,066,726

26. OTHER NON FINANCIAL ASSETS

	2023 Rs.	2022 Rs.
Advances	20,884,995	15,253,891
Pre-paid Staff Cost (Note 26.1)	34,942,919	19,480,944
Other Receivables	212,630	212,630
Pre Paid Rent Deposit	(67,596)	162,170
Pre-Paid Expenses	32,243,048	22,703,284
	88,215,996	57,812,919

26.1 The movement in the Pre-Paid Staff Cost

	2023 Rs.	2022 Rs.
Balance as at 1 April	19,944,071	23,819,448
Add: Adjustment for new grants (net of settlements)	19,204,998	342,733
Charge to Personnel Expenses	(4,206,150)	(4,218,109)
Balance as at 31 March	34,942,919	19,944,071

27. INTANGIBLE ASSETS

	Computer Software	
	2023 Rs.	2022 Rs.
Cost		
Cost as at 01 April	84,519,798	84,519,798
Additions	1,180,375	-
As at 31 March	85,700,173	84,519,798
Amortisation & Impairment:		
As at 1 April	56,569,032	50,653,376
Amortisation Charge for the year	6,004,183	5,915,656
As at 31 March	62,573,215	56,569,032
Net book value:		
As at 31 March	23,126,958	27,950,766

Nature and Amortisation Method

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

During the financial year, the Company acquired intangible assets value of Rs.1,180,375 /- (Computer Software) (2021/2022 - Rs 0/-).

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2023

28. PROPERTY, PLANT AND EQUIPMENT

28.1 Gross Carrying Amounts	Balance As at 31.03.2022 Rs.	Additions/ Transfers/Reval uation Rs.	Disposals Rs.	Balance As at 31.03.2023 Rs.
Cost /Valuation				
Freehold Assets				
Land	114,400,000	80,000	-	114,480,000
Furniture & Fittings	78,960,564	3,697,670	16,260,585	66,397,649
Office Equipment	27,425,269	2,845,779	9,146,765	21,124,283
Motor Vehicles	9,924,000			9,924,000
Computer Hardware	81,773,591	26,399,198	7,882,185	100,290,604
Total Value of Depreciable Assets	312,483,424	33,022,647	33,289,535	312,216,536

28.2 Depreciation	Balance As at 31.03.2022 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2023 Rs.
Furniture & Fittings	68,927,016	5,001,019	15,994,779	57,933,256
Office Equipment	20,950,754	2,301,997	8,876,407	14,376,344
Motor Vehicles	1,246,958	1,240,500		2,487,458
Computer Hardware	68,636,627	8,150,475	7,853,334	68,933,767
	159,761,355	16,693,991	32,724,520	143,730,825

28.3 Net Book Values	2023 Rs.	2021 Rs.
At Cost/Valuation		
Land	114,480,000	114,400,000
Furniture & Fittings	8,464,393	10,033,548
Office Equipment	6,747,939	6,474,515
Motor Vehicles	7,436,542	8,677,042
Computer Hardware	31,356,837	13,136,964
Total Carrying Amount of Property, Plant & Equipment	168,485,711	152,722,069

28.4 The useful lives of the assets are estimated as follows;	2023	2022
Furniture & Fittings	3 - 8 Years	3 - 8 Years
Office Equipment	8 Years	8 Years
Motor Vehicles	8 Years	8 Years
Computer Hardware	4 years	4 years

28.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 32,942,647/- (2021/2022- Rs.22,457,183/-).

28.6 Cost of fully depreciated assets of the company as at 31 March 2023 is Rs 98,876,646 /- (2020/2021 - Rs. 110,503,110/-).



28. PROPERTY, PLANT AND EQUIPMENT (Contd...)**28.7 Fair value related disclosures of freehold land**

Fair value of the land was determined using the market comparable method. The valuations have been performed by the valuer and are based on proprietary databases of prices of transactions for properties of similar nature, location and condition. As at the dates of revaluation on 31 March 2023, the lands' fair values are based on valuations performed by H.R De Silva, a professionally qualified independent valuer.

Reconciliation of carrying amount

	Rs.
Revalued amount (carrying value) as at 31.03.2022	114,400,000
Revaluation gain as at 31.03.2023	80,000
Impairment losses recognized during the year	-
Carrying Value and fair value as at 31 March 2023	<u>114,480,000</u>

Fair value hierarchy

The fair value the Company's freehold land was determined using the market comparable method. This means that valuations performed are based on prices of transactions involving properties of a similar nature, location and condition. Since this valuation was performed using a significant non-observable input, the fair value was classified as a Level 3 measurement.

Valuation techniques and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of freehold land, as well as the significant unobservable inputs used.

Name of the Professional Valuer/Location	Extent	Method of Valuation and Significant Unobservable Inputs	Valued in 31 March 2023 Rs.
H.R De Silva Freehold land at Awissawella Road, Galwana, Mulleriyawa	71.5 perches	Market Comparable Method- Estimated price per perch:Rs.1,600,000	114,480,000

The carrying value of Company's revalued freehold land, if it was carried at cost, would be as follows.

	2023 Cost Rs.	2023 Carrying Value Rs.	2022 Cost Rs.	2022 Carrying Value Rs.
Freehold Land	24,940,093	24,940,093	24,940,093	24,940,093
	<u>24,940,093</u>	<u>24,940,093</u>	<u>24,940,093</u>	<u>24,940,093</u>



29. RIGHT-OF-USE-ASSETS

Set out below are the carrying amounts of right-of-use-assets recognised and movements during the year.

	2023 Rs.	2022 Rs.
29.1 Cost		
Balance as at 01 April	304,268,788	148,137,055
Additions and Improvements	20,222,419	156,131,734
Cost as at 31 March	<u>324,491,207</u>	<u>304,268,788</u>
Accumulated Amortisation		
Balance as at 01 April	129,143,505	85,646,183
Charge for the year (Note 11)	43,972,272	43,497,322
Accumulated Amortisation as at 31 March	<u>173,115,777</u>	<u>129,143,505</u>
Net Book Value as at 31 March	<u>151,375,430</u>	<u>175,125,283</u>

29.2 Lease Liability

Set out below are the carrying amounts of Lease Liabilities (Included under Other Financial Liabilities in Note 34) and movements during the year.

	2023 Rs.	2022 Rs.
Balance as at 01 April	181,093,889	63,308,285
Additions	18,167,463	156,131,738
Accretion of Interest (Note 5.2)	17,408,500	13,543,777
Payments	(50,547,501)	(51,889,911)
Balance as at 31 March	<u>166,122,351</u>	<u>181,093,889</u>

29.3 Maturity Analysis of Lease Liability

	2023 Rs.	2022 Rs.
As at 31 March		
Less than 01 year	31,046,315	32,518,754
01 to 05 years	125,319,442	130,807,111
More than 05 years	9,756,594	17,768,024
	<u>166,122,351</u>	<u>181,093,889</u>

29.4 Sensitivity of Right-of use Assets /Lease Liability to Key Assumptions**Sensitivity to Discount Rates**

1% increase/(Decrease) in discount rate as at 31 March 2023 would have increased/(decreased) the lease liability by approximately Rs.1,740,850 with a similar increase/(decrease) in the Right- of-use Assets. Had the Company increased/(decreased) the discount rate by 1% the Company's profit before tax for the year would have increased/(decreased) by approximately Rs.1,392,680



30. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss		Recognized in Statement of Statement of Changes in Equity	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Deferred Tax Liability								
Capital Allowances for Tax Purposes								
-Property Plant & Equipment	10,545,755	9,250,256	-	-	1,295,500	4,001,749	-	-
-Leased Asset	2,614,157	7,437,207	-	-	(4,823,050)	(1,035,290)	-	-
Revaluation of Land-Previous Year	26,837,972	19,056,000	7,781,972	-	-	-	-	-
Revaluation of Land -Current Year	24,000	-	24,000	-	-	-	-	-
Define Benefit Plan- Other Comprehensive Income	106,897	1,039,397	(932,500)	571,270	-	-	-	-
	<u>40,128,781</u>	<u>36,782,860</u>	<u>6,873,472</u>	<u>571,270</u>	<u>(3,527,550)</u>	<u>2,966,459</u>	<u>-</u>	<u>-</u>
Deferred Tax Assets								
Capital Allowances for Tax Purposes								
-Leased Asset	-	-	-	-	-	-	-	-
Defined Benefit Plans- Income Statement	(11,229,763)	(6,624,147)	-	-	(4,605,615)	327,564	-	-
Define Benefit Plan- Other Comprehensive Income	-	-	-	-	-	-	-	-
Provision for Impairment on Financial Assets	(9,689,247)	(13,942,027)	-	-	4,252,780	20,453,196	-	-
Impact of Adoption of SLFRS 09	-	-	-	-	-	-	-	-
Operating Leased Assets-SLFRS 16	(5,958,747)	(2,918,326)	-	-	(3,040,421)	(1,204,987)	-	-
Brought Forward Tax Losses	-	-	-	-	-	-	-	-
	<u>(26,877,757)</u>	<u>(23,484,500)</u>	<u>-</u>	<u>-</u>	<u>(3,393,256)</u>	<u>19,575,773</u>	<u>-</u>	<u>-</u>
Deferred income tax charge/(reversal)			<u>6,873,472</u>	<u>571,270</u>	<u>(6,920,806)</u>	<u>22,542,232</u>	<u>-</u>	<u>-</u>
Net Deferred Tax Liability/ (Asset)	<u>13,251,024</u>	<u>13,298,359</u>						

31. DUE TO BANKS

Bank Overdrafts
Bank Facilities (Note 31.2 (a), 31.2 (b))

2023 Rs.	2022 Rs.
2,087,507	17,480,490
-	121,116,610
<u>2,087,507</u>	<u>138,597,100</u>



31. DUE TO BANKS (Contd...)

31.1 Due to Banks

	2023 Amount repayable within 1 year Rs.	2023 Amount repayable after 1 year Rs.	Total Rs.	2022 Amount repayable within 1 year Rs.	2022 Amount repayable after 1 year Rs.	Total Rs.
Bank Facilities	-	-	-	121,116,610	-	121,116,610
	-	-	-	121,116,610	-	121,116,610

31.2 (a) Bank Facilities

	As at 01.04.2022 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2023 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 01 Seylan Bank PLC	15,000,000	-	1,254,017	15,000,000	1,254,017	-	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	22,916,610	-	2,370,272	22,916,610	2,370,272	-	48Months	Lease Portfolio
Term Loan 03 Seylan Bank PLC	83,200,000	-	9,358,921	83,200,000	9,358,921	-	36 Months	Lease Portfolio
	121,116,610	-	12,983,210	121,116,610	12,983,210	-		

31.2 (b) Bank Facilities

	As at 01.04.2021 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2022 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 01 Seylan Bank PLC	35,000,000	-	2,415,302	20,000,000	2,415,302	15,000,000	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	47,916,610	-	3,196,147	25,000,000	3,196,147	22,916,610	48Months	Lease Portfolio
Term Loan 03 Seylan Bank PLC	166,600,000	-	11,351,208	83,400,000	11,351,208	83,200,000	36 Months	Lease Portfolio
	249,516,610	-	16,962,657	128,400,000	16,962,657	121,116,610		

32. DUE TO CUSTOMERS

	2023 Rs.	2022 Rs.
Fixed Deposits	5,334,360,603	4,383,417,670
Savings Deposits	42,253,289	64,590,618
	5,376,613,892	4,448,008,287



33. OTHER BORROWED FUNDS

Securitization Loan (Note 33.1)
Borrowings on Commercial Papers

2023 Rs.	2022 Rs.
1,953,023,415	2,161,315,277
-	390,791,814
<u>1,953,023,415</u>	<u>2,552,107,092</u>

33.1 Other Borrowed Funds

Securitized Borrowings

Amount repayable within 1 year Rs.	2023 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2022 Amount repayable after 1 year Rs.	Total Rs.
1,684,285,320	268,738,095	1,953,023,415	1,675,806,970	485,508,307	2,161,315,277
<u>1,684,285,320</u>	<u>268,738,095</u>	<u>1,953,023,415</u>	<u>1,675,806,970</u>	<u>485,508,307</u>	<u>2,161,315,277</u>

33.2 (a) Other Borrowed Funds

	As at 01.04.2022 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2023 Rs.	Period Rs.	Security Rs.
Securitized Borrowings 02	-	-	-	-	-	-	24 Months	Lease Portfolio
Securitized Borrowings 03	-	-	-	-	-	-	15 Months	Lease Portfolio
Securitized Borrowings 04	39,297,213	-	852,208	30,000,000	8,515,044	1,634,377	24 Months	Lease Portfolio
Securitized Borrowings 06	248,236,317	-	8,599,288	223,691,405	31,693,210	1,450,989	24 Months	Lease Portfolio
Securitized Borrowings 07	194,227,097	-	8,972,353	174,000,000	25,331,885	867,565	30 Months	Lease Portfolio
Securitized Borrowings 08	622,984,358	-	50,137,008	578,000,000	66,669,767	28,451,599	18Months	Lease Portfolio
Securitized Borrowings 09	506,159,827	-	54,311,662	281,436,137	30,373,073	248,662,280	18 Months	Lease Portfolio
Securitized Borrowings 10	550,410,466	-	69,055,490	360,000,000	43,600,781	215,865,175	24 Months	Lease Portfolio
Securitized Borrowings 11	-	735,434,655	177,905,783	-	-	913,340,438	16 Months	Lease Portfolio
Securitized Borrowings 12	-	499,617,858	43,133,134	-	-	542,750,992	20 Months	Lease Portfolio
	<u>2,161,315,278</u>	<u>1,235,052,513</u>	<u>409,966,926</u>	<u>1,647,127,542</u>	<u>206,183,760</u>	<u>1,953,023,415</u>		

	As at 01.04.2021 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2022 Rs.	Period Rs.	Security Rs.
Securitized Borrowings 01	-	-	-	-	-	-	22 Months	Lease Portfolio
Securitized Borrowings 02	54,002,785	-	1,919,451	41,000,000	14,922,236	-	24 Months	Lease Portfolio
Securitized Borrowings 03	-	-	-	-	-	-	15 Months	Lease Portfolio
Securitized Borrowings 04	277,959,240	-	17,887,597	220,000,000	36,549,624	39,297,213	24 Months	Lease Portfolio
Securitized Borrowings 05	71,051,719	-	2,549,925	66,500,000	7,101,644	-		Lease Portfolio
Securitized Borrowings 06	255,605,001	-	20,593,877	26,559,569	1,402,992	248,236,317	24 Months	Lease Portfolio
Securitized Borrowings 07	505,665,551	-	37,105,736	326,000,000	22,544,190	194,227,097	30 Months	Lease Portfolio
Securitized Borrowings 08	-	603,000,000	19,984,358	-	-	622,984,358	18Months	Lease Portfolio
Securitized Borrowings 09	-	501,944,445	4,215,382	-	-	506,159,827	18 Months	Lease Portfolio
Securitized Borrowings 10	-	550,000,000	410,466	-	-	550,410,466	24 Months	Lease Portfolio
	<u>1,164,284,296</u>	<u>1,654,944,445</u>	<u>104,666,792</u>	<u>680,059,569</u>	<u>82,520,686</u>	<u>2,161,315,278</u>		



34. OTHER FINANCIAL LIABILITIES		2023 Rs.	2022 Rs.
Trade Payables - Related Parties (Note 34.1)		2,544,841	2,328,698
Non Trade Payables - Related Parties (Note 34.2)		1,489,834	1,057,234
Trade Payables - Other Parties		11,378,026	64,450,112
Lease Liability (Note 29.2)		166,122,351	181,093,889
Accrued Expenses		379,949,595	395,941,448
		<u>561,484,647</u>	<u>644,871,381</u>
34.1 Trade Payables to Related Parties			
	Relationship		
Abans PLC	Parent Company	463,251	247,108
Abans Auto (Pvt)Ltd	Affiliate Company	2,081,590	2,081,591
		<u>2,544,841</u>	<u>2,328,698</u>
34.2 Non Trade Payables to Related Parties			
Abans PLC	Parent Company	196,054	70,200
Abans Retail (Pvt) Ltd	Affiliate Company	-	-
Abans Graphics (Pvt) Ltd	Affiliate Company	-	176,850
Abans Environmental Services	Affiliate Company	146,070	197,781
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate Company	221,840	47,450
AB Securitas (Pvt) Ltd	Affiliate Company	463,963	434,927
AB Logistics (Pvt) Ltd	Affiliate Company	-	-
ABS Courier (Pvt) Ltd	Affiliate Company	461,907	130,025
		<u>1,489,834</u>	<u>1,057,234</u>
35. OTHER NON FINANCIAL LIABILITIES			
		2023 Rs.	2022 Rs.
VAT on Financial Services		41,414,793	41,677,478
VAT Payable		6,749,914	525,219
SSCL Payable		7,296,466	-
Others		4,429,278	1,618,446
		<u>59,890,451</u>	<u>43,821,143</u>
36. RETIREMENT BENEFIT OBLIGATIONS			
		2023 Rs.	2022 Rs.
Retirement Benefit Obligations - Gratuity			
Balance at the beginning of the year		27,600,613	27,014,926
Current Service Cost		5,173,241	4,292,989
Past Service Cost		-	(995,609)
Payments made during the year		(2,563,751)	(2,468,635)
Interest Charged/(Reversed) for the year		4,114,104	1,963,985
Due to change in Demographic Assumptions		(1,160,780)	(133,893)
Due to change in Financial Assumptions		4,787,398	(4,111,260)
Experience Adjustment		(518,284)	1,864,860
Prior year gratuity payment cancellation		-	173,250
Balance at the end of the year		<u>37,432,541</u>	<u>27,600,613</u>



36.	RETIREMENT BENEFIT OBLIGATIONS (Contd...)	2023 Rs.	2022 Rs.
36.1	Expenses on Defined Benefit Plan		
	Current Service Cost for the year	5,173,241	4,292,989
	Interest Charge for the year	4,114,104	1,963,985
	Past Service Cost	-	(995,609)
		<u>9,287,345</u>	<u>5,261,365</u>
	Amount Recognized in the Other Comprehensive Income		
	(Gain)/Loss arising from changes in the assumption (Note 36.2)	3,108,334	(2,380,293)
		<u>3,108,334</u>	<u>(2,380,293)</u>
36.2	(Gain) / Loss arising from the changes in the assumption		
	Due to change in Demographic Assumptions	(1,160,780)	(133,893)
	Due to change in Financial Assumptions	4,787,398	(4,111,120)
	Experience Adjustment	(518,284)	1,864,860
		<u>3,108,334</u>	<u>(2,380,153)</u>
36.3	Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2023 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.		
36.4	Assumptions	2023	2022
	Discount Rate	18.00%	15.00%
	Salary Increment Rate	15.00%	10.00%
	Staff Turnover	11.00%	14.00%
	Retirement Age	60 Years	60 Years

Assumptions regarding future mortality are based on 1967/70 Mortality Table and issued by the Institute of Actuaries, London.

**The minimum retirement age has been extended up to 60 years with effect from 17 November 2021 as per the "Minimum Retirement Age of Workers Act, No. 28 of 2021".

As per the guidelines issued by the Institute of Chartered Accountants of Sri Lanka, the discount rates have been adjusted to convert the coupon bearing yield to a zero coupon yield to match the characteristics of the gratuity payment liability and the resulting yield to maturity for the purpose of valuing Employee benefit obligations as per LKAS 19.

36.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

		2023		2022	
Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%		12,934,657	(12,934,657)	1,212,929	(1,212,929)
-1%		(1,129,289)	1,129,289	(1,328,448)	1,328,448
	1%	(1,344,910)	1,344,910	(1,506,084)	1,506,084
	-1%	1,248,054	(1,248,054)	1,392,853	(1,392,853)

36.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2023 Years	2022 Years
Weighted Average Duration of the Defined Benefit Obligation	6.60	5.31
Average Time to Benefit Payout	8.03	6.46



36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)**36.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2023	2022
	Rs.	Rs.
Less than 1 year	4,376,203	4,423,615
Between 1-5 years	13,932,021	11,650,853
Between 5-10 years	10,599,940	7,657,710
Over 10 years	8,524,377	3,868,435
	<u>37,432,541</u>	<u>27,600,613</u>

37. STATED CAPITAL

	2023		2022	
	No. of Shares	Rs.	No. of Shares	Rs.
37.1 Issued and Fully Paid-Ordinary shares				
As at 31 March	73,693,171	1,321,097,699	66,561,573	1,121,412,955
	<u>73,693,171</u>	<u>1,321,097,699</u>	<u>66,561,573</u>	<u>1,121,412,955</u>

37.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

38. RETAINED EARNINGS AND OTHER RESERVES

	2023	2022
	Rs.	Rs.
38.1 Retained Earnings		
As at 01 April	956,131,916	610,075,860
Dividend Paid	-	-
Profit/(Loss) for the Year	355,062,488	430,308,791
Other Comprehensive Income net of tax	(2,175,834)	1,809,023
Transfers to Statutory Reserve Fund	(17,753,124)	(86,061,758)
Transfers to the Regulatory Risk Allowance Reserve	(755,907,050)	-
As at 31 March	<u>535,358,596</u>	<u>956,131,916</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

38.2 Other Reserves

	Statutory Reserve	Total
38.2.1 Statutory Reserve Fund		
The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 5% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.		

	2023	2022
	Rs.	Rs.
Balance as at 01 April	277,169,198	191,107,440
Transfers to/(from) during the year	17,753,124	86,061,758
Balance as at 31 March	<u>294,922,322</u>	<u>277,169,198</u>

38.2.2 Revaluation Reserve

	2023	2022
	Rs.	Rs.
Balance as at 01 April	70,403,907	70,403,907
Revaluation Surplus (Net of Tax)	56,000	-
Tax rate change impact on Revaluation Reserve	(7,781,972)	-
Balance as at 31 March	<u>62,677,935</u>	<u>70,403,907</u>

38.2.3 Regulatory Loss Allowance Reserve

In terms of the section 7.0 on Classification and Measurement of Credit Facilities Direction No. 01 of 2020, ensure the following.

Section 7.1.3

Where the loss allowances for expected credit loss falls below the regulatory provisions (i.e., provision and accrued interest in NPL), Company shall maintain the additional loss allowance in a non-distributable regulatory loss allowance reserve (RLAR) through an appropriation of its retained earnings. The additional loss allowance shall be maintained in the RLAR at all times. When loss allowance for expected credit losses exceeds the regulatory provision, the Company may transfer the excess amount in the RLAR to its retained earnings. Company has provided the difference of regulatory provision and impairment provision as per SLFRS 09, Rs. 755,907,050 as of 31.03.2023.



39. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

39.1 As at 31 March 2023

	Amortised Cost	Financial Investments FVP&L	Equity Instruments - FVOCI	Total
	Rs.		Rs.	Rs.
Assets				
Cash and Bank Balances	371,545,331	-	-	371,545,331
Placement With Banks	433,981,434	-	-	433,981,434
Repurchase Agreements	271,331,939	-	-	271,331,939
Loans and Advances	1,019,648,500	-	-	1,019,648,500
Lease rentals receivable & Stock out on Hire	7,787,483,346	-	-	7,787,483,346
Financial Investments at Fair Value through P&L	-	8,613,335	-	8,613,335
Equity instruments at fair value through OCI	-	-	80,400	80,400
Debt Instruments at Amortised Cost	713,692,026	-	-	713,692,026
Other Financial Assets	112,611,633	-	-	112,611,633
Total Financial Assets	10,710,294,209	8,613,335	80,400	10,718,987,944
Liabilities				
Due to Banks	2,087,507	-	-	2,087,507
Due to Customers	5,376,613,892	-	-	5,376,613,892
Other Borrowed Funds	1,953,023,415	-	-	1,953,023,415
Other Financial Liabilities	561,484,647	-	-	561,484,647
Total Financial Liabilities	7,893,209,460	-	-	7,893,209,460

39.2 As at 31 March 2022

	Amortised Cost	Financial Investments FVP&L	Equity Instruments - FVOCI	Total
	Rs.		Rs.	Rs.
Assets				
Cash and Bank Balances	183,803,274	-	-	183,803,274
Placement With Banks	485,662,416	-	-	485,662,416
Repurchase Agreements	255,049,144	-	-	255,049,144
Loans and Advances	1,109,139,474	-	-	1,109,139,474
Lease rentals receivable & Stock out on Hire	6,999,758,895	-	-	6,999,758,895
Financial Investments at Fair Value through P&L	-	291,202,975	-	291,202,975
Equity instruments at fair value through OCI	-	-	80,400	80,400
Debt Instruments at Amortised Cost	587,159,325	-	-	587,159,325
Other Financial Assets	110,968,742	-	-	110,968,742
Total Financial Assets	9,731,541,270	291,202,975	80,400	10,022,824,645
Liabilities				
Due to Banks	138,597,100	-	-	138,597,100
Due to Customers	4,448,008,287	-	-	4,448,008,287
Other Borrowed Funds	2,552,107,092	-	-	2,552,107,092
Other Financial Liabilities	644,871,381	-	-	644,871,381
Total Financial Liabilities	7,783,583,860	-	-	7,783,583,860



40. FAIR VALUE OF FINANCIAL INSTRUMENTS

Financial Instruments Recorded at Fair Value

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

40.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1: Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observable inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31 March 2023	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments at Fair Value through P&L				
Quoted Equities	-	-	-	-
Investment in Unit trust	-	8,613,335	-	8,613,335
Equity Instruments at Fair Value through OCI				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets measured at fair value	<u>-</u>	<u>8,613,335</u>	<u>80,400</u>	<u>8,693,735</u>
Non Financial Assets				
Freehold land & buildings (included under Property, Plant& Equipment)	-	-	114,480,000	114,480,000
Total Non - Financial Assets measured at fair value	<u>-</u>	<u>-</u>	<u>114,480,000</u>	<u>114,480,000</u>
As at 31 March 2022	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments at Fair Value through P&L				
Quoted Equities	-	-	-	-
Investment in Unit trust	-	291,202,975	-	291,202,975
Equity Instruments at Fair Value through OCI				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>291,202,975</u>	<u>80,400</u>	<u>291,283,375</u>
Non Financial Assets				
Freehold land & buildings (included under Property, Plant& Equipment)	-	-	114,400,000	114,400,000
Total Non - Financial Assets measured at fair value	<u>-</u>	<u>-</u>	<u>114,400,000</u>	<u>114,400,000</u>

There were no financial liabilities recorded at fair value as at 31 March 2023 & 2022.

There were no transfers between Level 1 and Level 2 during 2023 & 2022.

40. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)

40.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value

Set out below is the comparison, by class, of the carrying amounts of Fair Values of the Company's Financial Instruments that are not carried at Fair Value in the Financial Statements. This table does not include the Fair Values of Non-Financial Assets and Non-Financial Liabilities.

	Carrying Amount	2023 Fair Value				Carrying Amount	2022 Fair Value			
		Level 01	Level 02	Level 03	Total		Level 01	Level 02	Level 03	Total
Financial Assets	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Loans and Advances	1,019,648,500	-	1,162,381,650	-	1,162,381,650	1,109,139,474	-	816,296,108	-	816,296,108
Lease rentals receivable & Stock out on Hire	7,787,483,346	-	7,550,971,872	-	7,550,971,872	6,999,758,895	-	6,527,249,912	-	6,527,249,912
Debt instruments at amortised cost	713,692,026	-	713,692,026	-	713,692,026	587,159,325	-	587,159,325	-	587,159,325
	9,520,823,872	-	9,427,045,548	-	9,427,045,548	8,696,057,694	-	7,930,705,345	-	7,930,705,345
Financial Liabilities										
Due to Customers	5,376,613,892	-	5,622,231,330	-	5,622,231,330	4,448,008,287	-	4,515,778,314	-	4,515,778,314
Other Borrowed Funds	1,953,023,415	-	2,331,657,929	-	2,331,657,929	2,552,107,092	-	2,552,107,092	-	2,552,107,092
	7,329,637,307	-	7,953,889,259	-	7,953,889,259	7,000,115,379	-	7,067,885,406	-	7,067,885,406

The following describes the methodologies and assumptions used to determine the Fair Values for those Financial Assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as Fair Values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of Financial Investments whose carrying amount is a reasonable approximation of Fair Value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets

Cash and Bank Balances
Placement With Banks
Repurchase Agreements
Other Financial Assets

Liabilities

Due to Banks
Due to Customers
Other borrowed funds
Other Financial Liabilities
Charters
Reclassification of Financial Assets

There have been no reclassifications during 2022/2023



41. RISK MANAGEMENT DISCLOSURES**41.1 Introduction**

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

41.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee consists of Three Non Executive Directors and the Chairman of the committee is an Independent Non executive Director who is one of Three members.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

41.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 Credit Risk**

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

41.4.1 Impairment Assessment

The methodology of the impairment assessment has explained in Note 3.1.10 under Accounting policies. The references below should be read in conjunction with those Accounting policies.

41.4.1 (a) Definition of default and cure

The Company considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. The Company considers treasury and interbank balances defaulted and takes immediate action when the required intra day payments are not settled by the close of business as outlined in the individual agreements.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- * Internal assessment of the borrower indicating default or near-default
- * The borrower requesting emergency funding from the Company
- * The borrower having past due liabilities to public creditors or employees
- * The borrower is deceased
- * A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral
- * A material decrease in the borrower's turnover or the loss of a major customer
- * A covenant breach not waived by the Company
- * The debtor (or any legal entity within the debtor's group) filing for bankruptcy application/protection
- * Debtor's listed debt or equity suspended at the primary exchange because of rumours or facts about financial difficulties

It is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

41.4.1 (b) Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or 1TECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition.

The Company is focused on supporting customers who are experiencing financial difficulties because of the COVID19 pandemic and has offered a range of industry-wide financial assistance measures including the debt moratorium initiated by the Central Bank of Sri Lanka. As per industry guidance given by the Central Bank and the Institute of Chartered Accountants of Sri Lanka, eligibility for the debt moratorium does not automatically result in a significant increase in credit risk (SICR) which moves an exposure from stage 1 (12-month ECL) to stage 2 (lifetime ECL). Accordingly, The Company has identified industries such as tourism, construction, Agriculture and Transport (including condominiums), as industries carrying an increased credit risk. Accordingly, exposures outstanding from the borrowers operating in these industries have been classified as stage 2 unless such exposures are individually significant and has specifically identified as stage 1.

This approach ensures the volume of exposures in stage 2 reflects a forward-looking view of the economy and not just what is observable as at the reporting date.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2023

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.1 (c) Assessment of Expected Credit Losses

41.4.1(c) Analysis of the total allowance for expected credit losses is as follows.

	2023			
	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Loans and Advances	(11,667,792)	(10,907,395)	(312,827,163)	(335,402,350)
Lease Rentals Receivable & Stock Out on Hire	(145,756,402)	(110,561,656)	(506,924,423)	(763,242,481)
Other Debtors			(67,827,218)	(67,827,218)
Total Allowance for Expected Credit Losses	(157,424,194)	(121,469,051)	(887,578,804)	(1,166,472,049)

	2022			
	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Loans and Advances	(29,975,237)	(15,282,194)	(301,528,527)	(346,785,959)
Lease Rentals Receivable & Stock Out on Hire	(165,265,568)	(133,221,017)	(459,927,659)	(758,414,244)
Other Debtors			(2,010,024)	(2,010,024)
Total Allowance for Expected Credit Losses	(195,240,805)	(148,503,211)	(763,466,210)	(1,107,210,227)

The methodology used in the determination of expected credit losses is explained in Note 3.1.10 to Financial Statements.

41.4.1(d) Movement of the total allowance for expected credit losses during the period

	2023 Rs.	2022 Rs.
Balance as at 01 April	1,107,262,107	997,866,565
Charge/(Reversal) to Income Statement (Note 9)	82,156,789	130,500,395
Write-off during the year	(22,946,845)	(21,104,853)
Balance as at 31 March	1,166,472,050	1,107,262,107

41.4.1(e) Sensitivity Analysis : Impact of increase/(Decrease) of loss rate by 1% on collective allowance for expected credit losses

If the loss rates used by the Company in determining collective impairment has increased / decreased by below mentioned rates, ECL provision of the company as at 31 March 2023 would have increased / decreased as follows.

	Impact to the ECL provision as of 31 March 2023	Impact to the ECL provision as of 31 March 2022
Increased/Decreased of loss rate used by the Company by 1%	91,084,804	43,300,801
Increased/Decreased of loss rate used by the Company by 2%	182,169,608	86,601,602



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.1(f) Loans past due but not impaired

A loan is considered past due when a counterparty has not made a payment by the contractual due date. The following table presents the carrying value of loans that are contractually past due but not classified as impaired because they are less than 90 days past due. Loans past due 30 days or less are not presented in this analysis as they are not administratively considered past due.

As at 31 March 2023

	2023		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	83,466,779	19,805,535	103,272,314
Lease Rentals Receivable & Stock Out on Hire	1,073,003,365	658,959,102	1,731,962,468
Other Debtors	-	-	-
	<u>1,156,470,144</u>	<u>678,764,637</u>	<u>1,835,234,782</u>

As at 31 March 2022

	2022		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	65,276,744	28,405,210	93,681,954
Lease Rentals Receivable & Stock Out on Hire	956,037,834	583,053,673	1,539,091,507
Other Debtors	-	-	-
	<u>1,021,314,578</u>	<u>611,458,883</u>	<u>1,632,773,461</u>

41.4.1(g) Overview of rescheduled loans and advances (except individually impaired loans and advances)

As at 31 March 2023	2023				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	78,887,126	78,887,126	21,642,538	21,642,538	57,244,588
Lease Rentals Receivable & Stock Out on Hire	538,397,734	538,397,734	78,801,323	78,801,323	459,596,411
	617,284,860	617,284,860	100,443,861	100,443,861	516,840,999

As at 31 March 2022	2022				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	29,864,554	29,864,554	6,243,348	6,243,348	23,621,206
Lease Rentals Receivable & Stock Out on Hire	166,856,166	166,856,166	33,796,866	33,796,866	133,059,298
	196,720,720	196,720,720	40,040,214	40,040,214	156,680,504



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.2 Maximum Exposure to Credit risk

The following table shows the maximum exposure to credit risk by class of Financial Asset and the value of Financial Assets covered by the collateral.

Type of Collateral	Maximum Exposure to Credit Risk Rs.	Fair Value of Collateral Held				Total Collateral Value Rs.	Net Exposure to Credit Risk Rs.
		Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.		
As at 31 March 2023							
Cash and Bank Balances (Excluding cash in hand)	303,909,867	-	-	-	-	-	303,909,867
Placement With Banks	433,981,434	-	-	-	-	-	433,981,434
Repurchase Agreements	271,331,939	-	-	-	-	-	271,331,939
Loans and Advances	1,355,050,850	358,676,874	317,710,518	608,169,552	530,000	1,285,086,944	69,963,906
Lease rentals receivable & Stock out on hire	8,550,670,053	-	-	12,811,730,179	-	12,811,730,179	-
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	713,692,026	-	-	-	-	-	713,692,026
Other Financial assets	112,611,633	-	-	-	-	-	112,611,633
	<u>11,741,328,202</u>	<u>358,676,874</u>	<u>317,710,518</u>	<u>13,419,899,731</u>	<u>530,000</u>	<u>14,096,817,123</u>	<u>1,905,571,205</u>

Type of Collateral	Maximum Exposure to Credit Risk Rs.	Fair Value of Collateral Held				Total Collateral Value Rs.	Net Exposure to Credit Risk Rs.
		Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.		
As at 31 March 2022							
Cash and Bank Balances (Excluding cash in hand)	133,455,252	-	-	-	-	-	133,455,252
Placement With Banks	485,662,416	-	-	-	-	-	485,662,416
Repurchase Agreements	255,049,144	-	-	-	-	-	255,049,144
Loans and Advances	1,455,925,433	71,350,581	405,835,786	45,732,072	47,513	522,965,952	932,959,481
Lease rentals receivable & Stock out on hire	7,758,173,139	-	-	7,311,348,583	-	7,311,348,583	446,824,556
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	587,159,325	-	-	-	-	-	587,159,325
Other Financial assets	110,968,742	-	-	-	-	-	110,968,742
	<u>10,786,473,851</u>	<u>71,350,581</u>	<u>405,835,786</u>	<u>7,357,080,655</u>	<u>47,513</u>	<u>7,834,314,535</u>	<u>2,952,159,316</u>

* Moveable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

** Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.3 Credit Quality by Class of Financial Assets

The amounts presented are gross of Impairment allowances.

As at 31 March 2023

Assets

Cash and Bank Balances	371,545,331
Placement With Banks	433,981,434
Repurchase Agreements	271,331,939
Loans and Advances	483,791,970
Lease Rentals Receivable & Stock Out on Hire	2,461,009,855
Equity instruments at fair value through OCI	80,400
Debt instruments at amortised cost	713,692,026
Other Financial Assets	65,056,529
Total	4,800,489,483

Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
371,545,331	-	-	371,545,331
433,981,434	-	-	433,981,434
271,331,939	-	-	271,331,939
483,791,970	492,388,098	378,870,782	1,355,050,850
2,461,009,855	5,930,409,427	159,250,771	8,550,670,053
80,400	-	-	80,400
713,692,026	-	-	713,692,026
65,056,529	88,670,460	-	153,726,989
4,800,489,483	6,511,467,985	538,121,553	11,850,079,022

As at 31 March 2022

Assets

Cash and Bank Balances	183,803,274
Placement With Banks	485,662,416
Repurchase Agreements	255,049,144
Loans and Advances	563,977,970
Lease Rentals Receivable & Stock Out on Hire	3,024,869,360
Equity instruments at fair value through OCI	80,400
Debt instruments at amortised cost	587,159,325
Other Financial Assets	87,054,490
Total	5,187,656,379

Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
183,803,274	-	-	183,803,274
485,662,416	-	-	485,662,416
255,049,144	-	-	255,049,144
563,977,970	472,836,051	419,111,412	1,455,925,434
3,024,869,360	4,417,499,566	315,804,213	7,758,173,139
80,400	-	-	80,400
587,159,325	-	-	587,159,325
87,054,490	2,010,024	-	89,064,514
5,187,656,379	4,892,345,642	734,915,625	10,814,917,646

41.4.3.1 Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of Financial Assets as at the end of the relevant financial period.

As at 31 March 2023

Past Due but Not Individually Impaired

	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	110,525,872	83,466,779	19,805,535	278,589,911	492,388,097
Lease Rentals Receivable & Stock Out on Hire	1,548,793,958	1,073,003,365	658,959,102	2,649,653,000	5,930,409,425
Other Financial Assets				88,670,460	88,670,460
	1,659,319,830	1,156,470,144	678,764,637	3,016,913,371	6,511,467,982

Aging Analysis of past due (i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2022

Past Due but Not Individually Impaired

	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	108,758,213	65,518,335	28,554,623	270,004,880	472,836,051
Lease Rentals Receivable & Stock Out on Hire	1,060,067,576	963,260,437	587,817,694	1,806,353,859	4,417,499,566
Other Financial Assets				2,010,024	2,010,024
	1,168,825,789	1,028,778,772	616,372,317	2,078,368,763	4,892,345,641



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 CREDIT RISK (Contd...)

41.4.4 Analysis of Risk Concentration

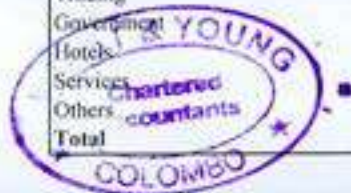
The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2023

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investment at fair value through P&L	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	8,871,601	44,559,727	-	-	-	-	53,431,328
Manufacturing	-	-	-	4,130,736	9,315,924	-	-	-	-	13,446,660
Construction	-	-	-	6,073,081	21,829,385	-	-	-	-	27,902,466
Financial Services	371,545,331	433,981,434	-	1,801,479	6,247,308	8,613,335	80,400	-	-	822,269,287
Trading	-	-	-	61,770,788	270,025,738	-	-	-	-	331,796,526
Government	-	-	271,331,939	-	-	-	-	713,692,026	-	985,023,965
Hotels	-	-	-	125,111	4,593,934	-	-	-	-	4,719,045
Services	-	-	-	8,085,493	18,736,255	-	-	-	-	26,821,748
Others	-	-	-	928,790,212	7,412,175,076	-	-	-	112,611,633	8,453,576,921
Total	371,545,331	433,981,434	271,331,939	1,019,648,501	7,787,483,347	8,613,335	80,400	713,692,026	112,611,633	10,718,987,946

As at 31 March 2022

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investment at fair value through P&L	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	53,163,819	10,796,308	-	-	-	-	63,960,127
Manufacturing	-	-	-	36,252,434	3,936,152	-	-	-	-	40,188,586
Construction	-	-	-	27,789,505	9,255,065	-	-	-	-	37,044,570
Financial Services	183,803,274	485,662,416	-	38,649,292	1,290,110	291,202,975	80,400	-	-	1,000,688,467
Trading	-	-	-	33,585,579	10,593,401	-	-	-	-	44,178,980
Government	-	-	255,049,144	-	-	-	-	587,159,325	-	842,208,469
Hotels	-	-	-	7,659,956	331,415	-	-	-	-	7,991,371
Services	-	-	-	492,348,200	54,477,901	-	-	-	-	546,826,101
Others	-	-	-	419,690,689	6,909,078,543	-	-	-	110,968,742	7,439,737,974
Total	183,803,274	485,662,416	255,049,144	1,109,139,474	6,999,758,895	291,202,975	80,400	587,159,325	110,968,742	10,022,824,645



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.5 Interest Rate Risk**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

ALCO closely scrutinizing the probable impact on Net interest impact resulting from interest rate related relief measures announced by CBSL to the Covid-19 affected the Company. Management is in the process of finalizing the Impact of the same.

41.5.1 Interest Rate Sensitivity

- 41.5.1.1** The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

Borrowings/ Advance	Increase (Decrease) in basis points	Rs. Million	
		Sensitivity of Profit or Loss	Sensitivity of Equity
Long Term Loans linked to AWPLR - LKR	2023	2023	2023
	+100/ (-100)	-	-
	+300/ (-300)	-	-
	+500/ (-500)	-	-
	2022	2022	2022
	+100/ (-100)	(1.21) / 1.21	(0.68) / 0.68
	+300/ (-300)	(3.63)/3.63	(2.32) / 2.32
	+500/ (-500)	(6.05)/6.05	(3.40) /3.40



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 INTEREST RATE RISK (Contd...)

41.5.2 Interest Rate Risk

Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2023
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
ASSETS							
Cash and Bank Balances	52,032,307	-	-	-	-	319,529,244	371,545,331
Placement with Banks	321,796,253	112,185,182	-	-	-	-	433,981,434
Securities Purchased under Repurchase Agreement	271,331,939	-	-	-	-	-	271,331,939
Loans and Advances	596,145,422	104,048,289	160,856,764	137,545,680	21,052,345	-	1,019,648,500
Lease Rentals Receivable & Stock out on Hire	1,091,659,459	1,647,426,427	3,309,986,995	1,738,410,465	-	-	7,787,483,346
Financial Investments at Fair Value through P&L	8,613,335	-	-	-	-	-	8,613,335
Equity instruments at fair value through OCI	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	713,692,026	-	-	-	-	-	713,692,026
Other Financial Assets	-	-	-	-	-	112,611,633	112,611,633
TOTAL ASSETS	3,055,270,741	1,863,659,898	3,470,843,759	1,875,956,145	21,132,745	432,140,877	10,718,987,944
LIABILITIES							
Due to Banks	2,087,507	-	-	-	-	-	2,087,507
Due to Customers	2,605,128,010	1,817,215,995	690,042,664	260,126,207	4,101,016	-	5,376,613,892
Other Borrowed Funds	-	866,162,061	753,294,910	333,566,444	-	-	1,953,023,415
Other Financial Liabilities	-	-	-	-	-	561,484,647	561,484,647
TOTAL LIABILITIES	2,607,215,517	2,683,378,056	1,443,337,574	593,692,651	4,101,016	561,484,647	7,893,209,460
TOTAL INTEREST SENSITIVITY GAP	448,055,224	(819,718,158)	2,027,506,185	1,282,263,494	17,031,729	(129,343,770)	2,825,778,484



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 INTEREST RATE RISK (Contd...)

41.5.2.1 Interest Rate Risk

Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The Company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
ASSETS							
Cash and Bank Balances	73,983,353					109,819,921	183,803,274
Placement with Banks	470,760,984	14,901,432					485,662,416
Securities Purchased under Repurchase Agreement	255,049,144						255,049,144
Loans and Advances	621,341,925	27,405,926	376,447,521	67,616,245	16,327,855		1,109,139,472
Lease Rentals Receivable & Stock out on Hire	1,486,848,104	997,006,230	3,283,910,258	1,195,944,742	36,049,562		6,999,758,896
Financial Investments at Fair Value through P&L	291,202,975						291,202,975
Equity instruments at fair value through OCI					80,400		80,400
Debt instruments at amortised cost	587,159,325						587,159,325
Other Financial Assets						110,968,742	110,968,742
TOTAL ASSETS	3,786,345,810	1,039,313,588	3,660,357,779	1,263,560,987	52,457,817	220,788,663	10,022,824,644
LIABILITIES							
Due to Banks	49,580,490	89,016,610			-	-	138,597,100
Due to Customers	1,640,271,511	2,267,965,305	481,335,038	58,436,433	-	-	4,448,008,287
Other Borrowed Funds	-	238,150,468	1,838,448,316	475,508,308	-	-	2,552,107,092
Other Financial Liabilities	-	-	-	-	-	644,871,381	644,871,381
TOTAL LIABILITIES	1,689,852,001	2,595,132,383	2,319,783,354	533,944,741	-	644,871,381	7,783,583,860
TOTAL INTEREST SENSITIVITY GAP	2,096,493,809	(1,555,818,795)	1,340,574,425	729,616,246	52,457,817	(424,082,718)	2,239,240,784



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.6 Liquidity Risk**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

Management of the Company maintaining a stable liquidity position even during this challenging period due to economic crisis and closely monitoring the position on daily basis and taking necessary measures to ensure the safeguard of the entity. The company introduced more rigour to the processes already in place to manage its liquid assets including cost saving measures. These actions taken will help to maintain suitable liquidity position while ensuring the interest of company's stakeholders despite of disruptive effect on liquidity that may arise due to the continuously evolving nature of the pandemic.

41.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier -II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The Company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2023	2022
Maximum	46.98%	29.26%
Minimum	17.66%	18.09%
Average	28.79%	24.19%
Closing	27.81%	26.76%

41.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2023	2022
Maximum	230.65%	182.30%
Minimum	185.88%	142.59%
Average	208.77%	155.63%
Closing	185.88%	182.30%



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities

41.6.3.1 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of relevant financial period.

	On Demand	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Total as at 31 March 2023
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	371,545,331	-	-	-	-	-	371,545,331
Placement With Banks	-	331,470,223	117,673,207	-	-	-	449,143,430
Securities Purchased under Repurchase Agreement	-	271,331,939	-	-	-	-	271,331,939
Loans and Advances	736,425,865	81,381,585	197,098,506	291,413,020	231,176,379	29,741,821	1,567,237,176
Lease rentals receivable & Stock out on Hire	614,496,417	1,167,099,295	3,233,761,721	5,244,227,271	2,417,840,545	-	12,677,425,249
Financial Investments at Fair Value through P&L	8,613,335	-	-	-	-	-	8,613,335
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	742,000,000	-	-	-	-	742,000,000
Other Financial Assets	-	-	3,149,648	-	-	109,461,985	112,611,633
Total Financial Assets	1,731,080,948	2,593,283,042	3,551,683,082	5,535,640,291	2,649,016,924	139,284,206	16,199,988,493
LIABILITIES							
Due to Banks	2,087,507	-	-	-	-	-	2,087,507
Due to Customers	42,253,289	2,632,334,369	1,965,195,597	732,544,999	287,312,752	4,165,712	5,663,806,718
Other Borrowed Funds	-	887,094,399	1,120,870,420	413,824,427	-	-	2,421,789,246
Other Financial Liabilities	-	-	426,408,610	-	125,319,441	9,756,594	561,484,647
Total Financial Liabilities	44,340,796	3,519,428,768	3,512,474,627	1,146,369,426	412,632,193	13,922,306	8,649,168,118
	1,686,740,152	(926,145,726)	39,208,455	4,389,270,865	2,236,384,731	125,361,900	7,550,820,375



41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities

41.6.3.2 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of previous financial period.

ASSETS	On Demand	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Total as at 31 March 2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	183,803,274	-	-	-	-	-	183,803,274
Placement With Banks	10,035,068	464,894,978	15,805,650	-	-	-	490,735,697
Securities Purchased under Repurchase Agreement	-	255,049,144	-	-	-	-	255,049,144
Loans and Advances	558,955,814	92,128,844	96,129,936	448,439,374	78,041,502	17,568,334	1,291,263,804
Lease rentals receivable & Stock out on Hire	968,697,001	956,980,823	2,070,448,841	4,726,645,592	1,435,020,571	41,881,103	10,199,673,930
Financial Investments at Fair Value through P&L	291,202,975	-	-	-	-	-	291,202,975
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	602,068,096	-	-	-	-	602,068,096
Other Financial Assets	12,271,059	90,747,783	1,580,000	4,472,200	1,005,000	892,700	110,968,742
Total Financial Assets	2,024,965,192	2,461,869,668	2,183,964,427	5,179,557,166	1,514,067,073	60,422,537	13,424,846,062
LIABILITIES							
Due to Banks	17,480,490	35,290,365	93,343,633	-	-	-	146,114,488
Due to Customers	190,135,346	1,444,128,780	2,418,492,785	576,171,104	81,434,966	-	4,710,362,981
Other Borrowed Funds	-	295,557,848	1,925,167,366	627,360,821	-	-	2,848,086,035
Other Financial Liabilities	-	511,640,320	-	83,493,328	74,521,287	21,533,872	691,188,807
Total Financial Liabilities	207,615,836	2,286,617,312	4,437,003,784	1,287,025,253	155,956,253	21,533,872	8,395,752,311
	1,817,349,356	175,252,356	(2,253,039,357)	3,892,531,913	1,358,110,820	38,888,665	5,029,093,751

41.7 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.



42. MATURITY ANALYSIS (CONTRACTUAL)

42.1 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the date of the Statement of Financial Position to the respective contractual maturity dates are given below.

	On Demand	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Total as at 31 March 2023
ASSETS	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Cash and Bank Balances	371,545,331	-	-	-	-	-	371,545,331
Placement With Banks	111,680,798	210,151,114	112,149,522	-	-	-	433,981,434
Securities Purchased under Repurchase Agreement	-	271,331,939	-	-	-	-	271,331,939
Loans and Advances	554,097,375	42,048,048	104,048,289	160,856,764	137,545,679	21,052,346	1,019,648,501
Lease rentals receivable & Stock out on Hire	559,701,545	531,957,913	1,647,426,427	3,309,986,995	1,738,410,466	-	7,787,483,346
Financial Investments at Fair Value through P&L	8,613,335	-	-	-	-	-	8,613,335
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	713,692,026	-	-	-	-	713,692,026
Other Financial Assets	-	-	3,149,648	-	-	109,461,985	112,611,633
Real Estate Stock	-	-	-	38,468,202	-	-	38,468,202
Other Non Financial Assets	-	22,053,999	30,875,599	35,286,398	-	-	88,215,996
Property, Plant & Equipment	-	4,576,822	12,721,966	26,232,403	7,728,984	117,225,536	168,485,711
Intangible Assets	-	1,508,423	4,525,269	9,176,669	6,135,323	1,781,272	23,126,956
Right-of-use Assets	-	-	31,471,082	64,678,685	42,544,708	12,680,956	151,375,431
Deferred tax assets	-	-	-	-	-	-	-
Total Assets	1,605,638,384	1,797,320,284	1,946,367,802	3,644,686,116	1,932,365,160	262,282,495	11,188,660,241
LIABILITIES							
Due to Banks	2,087,507	-	-	-	-	-	2,087,507
Due to Customers	42,253,289	2,562,874,721	1,817,215,995	690,042,664	260,126,207	4,101,016	5,376,613,892
Other Borrowed Funds	-	866,162,061	753,294,910	333,566,444	-	-	1,953,023,415
Other Financial Liabilities	-	-	426,408,610	-	125,319,441	9,756,594	561,484,647
Other Non Financial Liabilities	-	59,890,451	-	-	-	-	59,890,451
Current Tax Liabilities	-	-	214,913,361	-	-	-	214,913,361
Retirement Benefit Liability	-	-	4,376,204	3,550,640	10,381,381	19,124,316	37,432,541
Deferred Tax Liabilities	-	-	13,251,024	-	-	-	13,251,024
Total Liabilities	44,340,796	3,488,927,233	3,229,460,103	1,027,159,748	395,827,029	32,981,926	8,218,696,837



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2023

42. MATURITY ANALYSIS (CONTRACTUAL) (Contd...)

42.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the end of the previous financial period to the respective contractual maturity dates are given below

	On Demand	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Total as at 31 March 2022
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
ASSETS							
Cash and Bank Balances	183,803,274	-	-	-	-	-	183,803,274
Placement With Banks	10,030,685	460,765,959	14,865,772	-	-	-	485,662,416
Securities Purchased under Repurchase Agreement	-	255,049,144	-	-	-	-	255,049,144
Loans and Advances	558,362,915	62,979,011	27,405,926	376,447,521	67,616,245	16,327,856	1,109,139,474
Lease rentals receivable & Stock out on Hire	943,445,985	543,402,118	997,006,230	3,283,910,258	1,195,944,742	36,049,562	6,999,758,895
Financial Investments at Fair Value through P&L	291,202,975	-	-	-	-	-	291,202,975
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	587,159,325	-	-	-	-	587,159,325
Other Financial Assets	12,271,059	90,747,783	1,580,000	4,472,200	1,005,000	892,700	110,968,742
Real Estate Stock	-	-	-	32,066,726	-	-	32,066,726
Other Non Financial Assets	-	19,915,206	10,058,394	121,649	8,236,726	19,480,944	57,812,919
Property, Plant & Equipment	-	16,517	1,669,503	9,353,105	15,962,271	125,372,013	152,722,069
Intangible Assets	-	780,766	446,122	2,251,436	5,027,064	19,445,374	27,950,766
Right-of-use Assets	-	10,038,657	29,092,435	106,154,100	9,684,514	20,155,577	175,125,283
Deferred tax assets	-	-	-	-	-	-	-
Total Assets	1,999,116,893	2,030,854,490	1,082,124,382	3,814,976,995	1,303,476,562	237,804,426	10,468,502,408
LIABILITIES							
Due to Banks	17,480,490	32,100,000	89,016,610	-	-	-	138,597,100
Due to Customers	210,243,371	1,430,028,140	2,267,965,305	481,335,038	58,436,433	-	4,448,008,287
Other Borrowed Funds	-	238,150,468	1,838,448,316	475,508,308	-	-	2,552,107,092
Other Financial Liabilities	-	471,983,953	24,584,666	65,450,528	63,240,683	19,611,551	644,871,381
Other Non Financial Liabilities	-	43,821,143	-	-	-	-	43,821,143
Current Tax Liabilities	-	-	175,080,456	-	-	-	175,080,456
Retirement Benefit Liability	-	-	4,423,615	3,550,640	8,100,213	11,526,145	27,600,613
Deferred Tax Liabilities	-	-	13,298,360	-	-	-	13,298,360
Total Liabilities	227,723,861	2,216,083,704	4,412,817,328	1,025,844,514	129,777,329	31,137,696	8,043,384,432



42. MATURITY ANALYSIS (CONTRACTUAL) CURRENT AND NON CURRENT ANALYSIS OF ASSETS AND LIABILITIES

42.1 (a) The table below shows an analysis of assets and liabilities analysed according to when they are expected to be recovered or settled.

	Within 12 months		After 12 months		As at 31 March 2023	As at 31 March 2022
	2023	2022	2023	2022	Rs.	
	Rs.		Rs.		Rs.	
ASSETS						
Cash and Bank Balances	371,545,331	183,803,274	-	-	371,545,331	183,803,274
Placement With Banks	433,981,434	485,662,416	-	-	433,981,434	485,662,416
Securities Purchased under Repurchase Agreement	271,331,939	255,049,144	-	-	271,331,939	255,049,144
Loans and Advances	700,193,712	648,747,852	319,454,789	460,391,624	1,019,648,501	1,109,139,476
Lease rentals receivable & Stock out on Hire	2,739,085,885	2,483,854,333	5,048,397,461	4,515,904,563	7,787,483,346	6,999,758,896
Financial Investments at Fair Value through P&L	8,613,335	291,202,975	-	-	8,613,335	291,202,975
Equity instruments at fair value through OCI	-	-	80,400	80,400	80,400	80,400
Debt instruments at amortised cost	713,692,026	587,159,325	-	-	713,692,026	587,159,325
Other Financial Assets	3,149,648	104,598,842	109,461,985	6,369,900	112,611,633	110,968,742
Real Estate Stock	-	-	38,468,202	32,066,726	38,468,202	32,066,726
Other Non Financial Assets	52,929,598	29,973,599	35,286,399	27,839,320	88,215,996	57,812,919
Property, Plant & Equipment	17,298,788	1,834,681	151,186,922	150,887,389	168,485,711	152,722,069
Intangible Assets	6,033,692	1,226,890	17,093,264	26,723,875	23,126,956	27,950,765
Right-of-use Assets	31,471,082	39,131,092	119,904,349	135,994,191	151,375,431	175,125,283
Deferred tax assets	-	-	-	-	-	-
Total Assets	5,349,326,470	5,112,244,423	5,839,333,771	5,356,257,987	11,188,660,241	10,468,502,410
LIABILITIES						
Due to Banks	2,087,507	138,597,100	-	-	2,087,507	138,597,100
Due to Customers	4,422,344,005	3,908,236,816	954,269,887	539,771,471	5,376,613,892	4,448,008,287
Other Borrowed Funds	1,638,846,412	2,076,598,784	314,177,003	475,508,308	1,953,023,415	2,552,107,092
Other Financial Liabilities	426,408,610	496,568,620	135,076,035	148,302,761	561,484,645	644,871,381
Other Non Financial Liabilities	59,890,451	43,821,143	-	-	59,890,451	43,821,143
Current Tax Liabilities	214,913,360	175,080,456	-	-	214,913,360	175,080,456
Retirement Benefit Liability	4,376,204	4,423,615	33,056,337	23,176,998	37,432,541	27,600,613
Deferred tax liabilities	13,251,026	13,298,360	-	-	13,251,026	13,298,360
Total Liabilities	6,782,117,575	6,856,624,893	1,436,579,262	1,186,759,538	8,218,696,837	8,043,384,431



43. COMMITMENTS AND CONTINGENCIES**43.1 Commitments**

There is no Operating Lease Commitments as at 31 March 2023 as all the Operating Leases has been reclassified in accordance with SLFRS 16

43.2 Contingent Liabilities

There is no Contingent Liabilities as at 31st March 2023

43.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment and Intangible assets incidental to the ordinary course of business.

44. CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy is to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

Abans Finance PLC has complied with the minimum core capital requirement i.e. Rs. 2.5 Billion, set out in the Direction No.02 of 2017 of Finance Business Act and subsequent amendments thereof as of 31 March 2023.

45. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2023 Rs.	2022 Rs.	
Lease & Hire Purchase Receivables	Bank Overdraft	-	-	Lease Rental Receivables and Stock Out on Hire
Placement With Banks	Bank Overdraft	53,775,584	53,365,669	Placement With Banks
Lease & Hire Purchase Receivables	Term Loan	3,932,043,955	3,551,307,642	Lease Rental Receivables and Stock Out on Hire
		<u>3,985,819,539</u>	<u>3,604,673,311</u>	



46. EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date of the financial statements are authorised for issue.

There are no events occurring after the reporting date which require adjustments to or disclosure in the financial statements as at 31 March 2023.

47. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arm's length basis at commercial rates with the parties who are defined as Sri Lanka Accounting Standard No.24 Related Party Disclosure, details of which are reported below. Such transactions are based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

47.1 The Parent

Abans PLC owns 50.22% (2022- 49.67%) shareholding of the Company.

47.2 The Ultimate Parent

Abans International (Pvt) Ltd is the ultimate parent of Abans Finance PLC.

47.3 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO) and the KMPs of Abans PLC.

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel

	2023 Rs.	2022 Rs.
Short Term Employee Benefits	29,324,043	20,747,178
Post-employment benefits	2,250,000	1,220,000
	<u>31,574,043</u>	<u>21,967,178</u>

Other transactions with Key Management Personnel

	2023 Rs.	2022 Rs.
Fixed Deposits accepted during the year	36,100,000	15,000,000
Fixed Deposits held at the end of the year	119,928,148	17,180,603
Consultancy Fee paid during the year	350,000	243,340

In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and Advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year. (2022/2023- Nil).



47. RELATED PARTY TRANSACTIONS (Contd.)

47.4 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.

Nature of Transaction	Abans PLC Parent Company		Abans Auto (Pvt) Ltd Affiliate Company		Abans Tours (Pvt) Ltd Affiliate Company		Abans Transport (Pvt) Ltd Affiliate Company		Other Related Parties **		Total	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Fixed Deposits Accepted during the year	-	-	-	-	-	-	-	-	-	-	-	-
Fixed Deposits held at the end of the year	-	-	-	-	-	-	-	-	79,166,542	253,380,622	79,166,542	253,380,622
As at 1 April	3,375,986	7,316,888	2,081,590	(1,439,066)	-	-	4,068,039	8,205,221	(1,005,392)	(702,041)	(3,497,526)	13,381,003
Purchase of Motor Bikes - Lease Granting	-	-	-	(3,424,027)	-	-	-	-	-	-	-	(3,424,027)
Collections made on behalf of Abans Finance	475,753,884	465,788,631	-	-	-	-	-	-	-	-	475,753,884	465,788,631
Expense on collection commission	(2,742,871)	(1,947,589)	-	-	-	-	-	-	-	-	(2,742,871)	(1,947,589)
Support Services Expenses	-	-	-	-	-	-	-	-	(18,036,884)	(12,321,100)	(18,036,884)	(12,321,100)
Rent Income Recognized & Expense Recoveries	(4,740,910)	(912,600)	-	-	-	-	-	-	-	-	(4,740,910)	(912,600)
Rent Expense Paid	-	-	-	-	-	-	-	-	-	-	-	-
Settlements Paid (Received)	(466,781,740)	(466,869,344)	-	6,944,683	-	-	(434,200)	(4,571,382)	17,748,497	12,017,749	(449,467,443)	(464,496,043)
Facilities Granted and Interest Accrued	-	-	-	-	-	-	487,370	434,200	-	-	487,370	434,200
Settlements received for the facilities	-	-	-	-	-	-	-	-	-	-	-	-
As at 31 March	4,864,349	3,375,986	2,081,590	2,081,590	-	-	4,121,209	4,068,039	(1,293,779)	(1,005,392)	(2,244,380)	(3,497,526)
Included in											2023 Rs.	2022 Rs.
Loans and Advances											4,121,209	4,068,039
Other Financial Assets											3,149,648	3,693,293
Other Financial Liabilities											(4,034,675)	(3,404,290)
											3,236,182	4,357,042

**Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd
Abans Retail (Pvt) Ltd
Abans Marketing (Pvt) Ltd
Abans Electricals PLC (Service Department)
Abans Office Automation (Pvt) Ltd
AB Creation (Pvt) Ltd
Add Outdoor Advertising (Pvt) Ltd
ABS Gardiner Dixon Hall International (Pvt) Ltd
Advantage Technologies (Pvt) Ltd
Abans Environment Services (Pvt) Ltd
AB Logistics (Pvt) Ltd
AB Logistics (Pvt) Ltd
ABS Courier (Pvt) Ltd
Abans International (Pvt) Ltd
Ironwood Investments Holdings (Pvt) Ltd
Elizabeth Moir School

Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.



48. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.	2023 Rs.	2022 Rs.
Interest Income	2,165,995,074	1,668,820,856	(21,008,871)	2,896,639	199,372,607	191,076,821	307,379,964	69,257,910	2,651,738,774	1,932,052,227
Fee Based Income & Others	176,073,888	151,588,572	8,624,077	5,587,758	2,408,739	4,444,792	4,118,569	305,452	191,225,273	161,926,574
Unallocated Income	-	-	-	-	-	-	14,886,445	28,043,475	14,886,445	28,043,475
Total Revenue	2,342,068,962	1,820,409,428	(12,384,794)	8,484,397	201,781,346	195,521,614	326,384,978	97,606,837	2,857,850,492	2,122,022,275
Interest Expenses	(908,902,070)	(387,453,502)	(2,829,871)	(1,340,811)	(131,253,953)	(74,274,981)	(187,848,884)	(83,965,144)	(1,230,834,778)	(547,034,439)
Fee Based Expenses & Others	(242,355)	(5,727,522)	-	-	(138,000)	(393,000)	(26,167,761)	(15,553,956)	(26,548,115)	(21,674,478)
Impairment Reversal / (Provision)	(3,106,484)	(89,860,210)	(8,664)	(313,461)	9,539,453	(22,431,568)	(88,581,092)	(17,895,155)	(82,156,788)	(130,500,394)
Net Operating Income	1,429,818,054	1,337,368,193	(15,223,329)	6,830,125	79,928,846	98,422,065	23,787,241	(19,807,417)	1,518,310,810	1,422,812,964
Unallocated Expenses	-	-	-	-	-	-	-	-	(985,082,395)	(807,574,758)
Profits/ (Loss) before Tax	-	-	-	-	-	-	-	-	533,228,415	615,238,206
Income Tax expenses	-	-	-	-	-	-	-	-	(178,165,934)	(184,929,414)
Net Profit/(Loss) for the period	-	-	-	-	-	-	-	-	355,062,481	430,308,792
Other Comprehensive Income	-	-	-	-	-	-	-	-	(9,901,806)	1,809,023
Total Comprehensive Income for the Year	-	-	-	-	-	-	-	-	345,160,675	432,117,815
Segment Assets	7,765,921,041	6,975,423,948	21,562,306	24,334,947	1,019,648,500	1,109,139,474	1,427,618,734	1,619,073,860	10,234,750,579	9,727,972,230
Unallocated Assets	-	-	-	-	-	-	-	-	953,909,661	740,530,179
Total Assets	7,765,921,041	6,975,423,948	21,562,306	24,334,947	1,019,648,500	1,109,139,474	1,427,618,734	1,619,073,860	11,188,660,241	10,468,502,408
Unallocated Liabilities	-	-	-	-	-	-	-	-	8,218,696,838	8,043,384,432
Total Liabilities	-	-	-	-	-	-	-	-	8,218,696,838	8,043,384,432

